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March 12, 1999

To: Members of the Executive Board

From: The Acting Secretary

Subject: **Chad—Staff Report for the 1999 Article IV Consultation, Midterm Review Under the Third Annual Arrangement Under the Enhanced Structural Adjustment Facility, and Request for Waiver of Nonobservance of Performance Criteria**

Attached for consideration by the Executive Directors is the staff report for the 1999 Article IV consultation with Chad, the midterm review under the third annual arrangement under the Enhanced Structural Adjustment Facility, and the request by Chad for a waiver of nonobservance of performance criteria, which will be brought to the agenda for discussion on a date to be announced. A draft decision appears on page 23.

Mr. Plant (ext. 38736), Mr. Abdoun (ext. 38394), or Mr. Randriamaholy (ext. 37098) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Monday, March 22, 1999; and to the African Development Bank and the European Commission, following its consideration by the Executive Board.

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CHAD

**Staff Report for the 1999 Article IV Consultation,
Midterm Review Under the Third Annual Arrangement
Under the Enhanced Structural Adjustment Facility, and
Request for Waiver of Nonobservance of Performance Criteria**

Prepared by the African Department

Approved by Christian A. François and Ishan Kapur

March 11, 1999

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Executive Summary

Background

A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million (120 percent of quota), was approved on September 1, 1995. The third annual arrangement was approved by the Executive Board on April 29, 1998.

Recent economic and financial developments

- In 1998, real GDP rose by an estimated 7 percent, owing mainly to a 25 percent increase in foodstuff production. Formal sector activity was disrupted by chronic fuel shortages, a two-month truckers' strike and road damage inflicted by heavy rains. Inflation during 1998 was 3 percent.
- The external current account deficit, excluding grants, declined to 17 percent of GDP, from 20 percent in 1997, owing to buoyant cotton exports and improvement in the terms of trade. Net foreign reserves are estimated to have declined by some US\$10 million.

Program implementation

- Program implementation was mixed. The authorities are requesting waivers for five of ten end-September 1998 performance criteria. On the fiscal side, shortfalls in donor aid and revenue resulted in the nonobservance of criteria on government borrowing from the banking system and the primary current balance, while delays in negotiations with external creditors resulted in small external arrears. The civil service reform program was not technically adopted until November, while privatization of the sugar company was delayed. There were also some serious problems with government accounting and the treasury had difficulty reconciling budgetary and banking data.
- A mission in October/November 1998 informed the authorities that deficiencies in program execution needed to be remedied before completion of the midterm review could be recommended. A second round of discussions in January 1999 concluded that measures taken in the fourth quarter of 1999 were adequate to recommend completion of the review.

Fiscal program

- Fiscal performance in the first nine months of 1998 was improved over 1997, but fell well short of program objectives, despite a notable increase in customs revenue.
- In view of the end-September outcome, particularly the missed performance criteria, the mission worked with the authorities to craft a revised fiscal program for 1998 that would close some of the fiscal gap. In the event, the 1998 primary fiscal surplus of 1.1 percent of

GDP was slightly above the revised target. The accounting problems detected were resolved after the government consolidated its accounts; new procedures were implemented to ensure program monitoring in 1999.

Structural reforms

- Structural reforms advanced, but at a slower pace than anticipated, and in several instances it proved necessary to take actions different from that provided for in the program.
- Bids for the privatization of the electricity company went forward, while bids for the sugar company's privatization were delayed because of operational difficulties at the World Bank and in Chad. Bids are expected in the second quarter of 1999.
- Reform of telecommunications progressed but solicitation of bids for a cellular operator was delayed until end-December 1998. Privatizations of four small parastatals were delayed in the first nine months of 1998, but regained momentum in the last quarter.
- Audits of the social security system were completed, showing much more serious financial problems than had been anticipated.

1999 Economic Outlook

- Economic growth is projected to slow to just above 1 percent, as agriculture output is expected to return to trend levels. Inflation is projected to be less than 4 percent.
- The 1999 budget targets a current primary surplus of 2.3 percent of GDP. Revenue estimates are very ambitious, but the authorities stressed that they would adjust spending to meet overall fiscal objectives and present a revised budget to the parliament if necessary.

Staff appraisal

- Progress on budgetary management was marked in 1998, but efforts must be made to enlarge the tax base and reform tax administration. Treasury procedures need to be strengthened.
- Structural reform implementation also needs to be strengthened and all measures anticipated in the third annual program will have to be completed before a successor ESAF arrangement could be considered.
- Given overall progress, the staff recommends that the requested waivers be granted and that the review be completed.

I. INTRODUCTION

1. The discussions for the 1999 Article IV consultation and the midterm review under the third annual Enhanced Structural Adjustment Facility arrangement for Chad were held in N'Djamena during the periods October 27-November 11, 1998 and January 19-26, 1999.¹ A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million (120 percent of quota) was approved on September 1, 1995 (EBS/95/139; 8/11/95). The third annual arrangement, in an amount of SDR 16.52 million (40 percent of quota), was approved by the Executive Board on April 29, 1998 (EBS/98/74; 4/15/98), and the first disbursement was effected on May 6, 1998. The second disbursement, in an amount of SDR 8.26 million, is subject to completion of the midterm review. The attached letter from the Minister of Finance, dated March 10, 1999 (Appendix I), reviews the progress made under the program during 1998 and requests waivers for nonobservance of certain performance criteria.
2. As of the end of January 1999, Chad's outstanding use of Fund resources amounted to SDR 45.3 million, equivalent to 109.8 percent of quota. With the disbursement of the final loan under the ESAF arrangement, and taking into account repayments and repurchases due on previous SAF loans and purchases under the 1994 Stand-By Arrangement, Chad's financial obligations to the Fund would amount to SDR 52.3 million, or 126.7 percent of quota, at end-March 1999. Chad accepted the obligations of Article VIII, Sections 2, 3, and 4 of the Articles of Agreement of the Fund, on June 1, 1996.
3. Chad is on the standard 12-month consultation cycle. In concluding the last Article IV consultation on June 13, 1997, Directors encouraged the authorities to strengthen fiscal discipline by broadening the tax base and improving the collection of petroleum taxes and nontax revenue. They urged that priority spending on education and health be maintained, and emphasized the importance of the reform of the civil service and the social security system. They noted the need for an acceleration in privatization operations.
4. Chad's program of structural reform continues to receive support from various donors. In 1997, the World Bank supported these reforms with a US\$25 million structural adjustment credit (SAC). A new SAC of US\$30 million, originally programmed for the third quarter of 1998, is now scheduled to be considered by the World Bank Executive Board in March 1999. Other multilateral donors supporting Chad's adjustment effort include the

¹The Chadian representatives included President Déby, the Minister of Finance, the Minister of Planning, the ministerial committee responsible for the implementation of the structural adjustment program, and other senior officials. The staff team consisted of Mr. Plant (head), Mr. Abdoun, Mr. Lazar, Mr. Randriamaholy, Mr. Olters, and Ms. Dubost (assistant), all AFR. Mr. Fiator, Fund Resident Representative in Chad, played a key role throughout the discussions. Mr. Kpetigo, Assistant to the Executive Director for Chad, participated in the October discussions, during which the staff also worked closely with teams from the World Bank and the African Development Bank.

European Union and the African Development Bank. Summaries of Chad's relations with the Fund and the World Bank Group are provided in Appendixes II and III, respectively.

5. Since the last Article IV consultation, the national accounts were revised back to 1995, using a new methodology. No progress has been made on improving balance of payments statistics. Weaknesses in banking statistics and in government accounts make program monitoring difficult. Overall, the quality, coverage, and timeliness of statistical information remain poor (Appendix IV). Some progress has been made in the authorities' multiyear program to improve the statistical system, with the approval by the government of a statistical law. The mission encouraged the authorities to consider the General Data Dissemination Standard as a framework for statistical development.

II. ECONOMIC DEVELOPMENTS IN 1998

A. Output and Prices

6. Chad made important economic advances in 1998 but also faced major challenges, which made program execution difficult. Real GDP rose by an estimated 7 percent, owing mainly to a 25 percent increase in foodstuff production (Tables 2 and 3) that resulted from an exceptionally good rainfall, following the drought of 1997. The production of cottonseed, however, declined by some 16 percent to 220,000 tons (263,000 tons in 1997). Production fell because the drought in 1997 resulted in food shortages and high prices in the second and third quarters of 1998, spurring many farmers to sell their cottonseed and fertilizer to buy food; also, the timing of the rains was not propitious for growing cotton. Activity in the industrial sector rose by about 10 percent, with a strong 6 percent growth in construction; meanwhile, the ginning of the 1997 cotton crop resulted in a 20 percent increase in cotton fiber output. However, electricity and water production declined by some 4 percent, reflecting the effect of chronic fuel shortages, that emerged after a petroleum refinery in northern Nigeria, supplying 70 percent of Chad's petroleum products, was damaged and ceased operations in early 1998 (Box 1).² Moreover, transportation activity was disrupted by a two-month truckers' strike over taxation (see below) and by road damage caused by the heavy rains. These problems exacerbated the fuel supply difficulties and the seasonal shortage of foodstuffs in the third quarter. Consumer prices rose by 8 percent during the first six months of the year, and by an additional 10 percent during the third quarter. They then declined by

²A more detailed account of the energy crisis of 1998 is given in the paper on recent economic developments to be issued shortly. The fuel shortage affected primarily the electricity and water parastatal (STEE), which provides electricity to the capital, only 10 percent of which is connected to the electricity network, and several other cities. The cotton and sugar companies, as well as other large enterprises, produce their own electricity, thus limiting the immediate impact of stoppages in STEE production. However, the higher fuel prices had an impact on the operating costs of almost all producers.

13 percent in the last quarter, as the new cereal crop arrived on the market, bringing end-period inflation during 1998 to 3 percent.

Box 1. The Chadian Energy Crisis of 1998

Causes and effects. An explosion at a refinery in Nigeria in early 1998 disrupted the supply of petroleum products to Chad, unleashing an energy crisis. The country's filling stations were closed, petrol and diesel were available only in bottles sold alongside roads, and prices doubled in the first nine months of the year (but started to fall in the last quarter). Frequent and, at times, prolonged power failures disrupted formal sector production and government operations. Supply of electricity to N'Djamena was intermittent, particularly throughout the summer months when temperatures, for prolonged periods of time, exceeded 40°C and electricity demand was at its seasonal peak. As a result, government offices and many private enterprises were frequently closed. In the fourth quarter, electricity was supplied to businesses during the day and households at night.

Implications. Without direct seaport access, Chad has always depended on energy provision by overland route, limiting its options in the choice of petroleum-product suppliers. The interruption of the supply lines affected the two associations of Chadian petroleum importers asymmetrically. The nationals, who supplied about three-fourths of the market with fuels from Nigeria, were disproportionately affected as, suddenly, they were faced with critical supply-side restrictions and notably higher costs—in the past, gas prices in Nigeria had been substantially subsidized, and the informal naira-CFA franc exchange rate had proved highly favorable to the Chadian importers. By contrast, the multinationals, with their provisioning routes unaffected and as shareholders of all the relevant facilities in both Cameroon and Chad, enjoyed a virtual monopoly over oil imports from Cameroon. Domestically, the energy crisis was exacerbated by the efforts of the different actors to strengthen (or recover) their positions in the market and—in anticipation of the “new era” of Chadian oil exploration—to position themselves strategically.

The government's response. The reaction of the Chadian government has, so far, failed to alleviate the situation and elicited complaints—albeit for different reasons—from all the importers. Policy actions included the prohibition of bonded warehouses, implementation of a new import-licensing procedure, the making of requisitions on behalf of state-owned enterprises, and usage of the multinationals' storage capacities. The latter facilities were at the center of criticism brought forward by the domestic suppliers, who argued that the multinationals were using their position to artificially restrict available quantities while supplying the informal distribution network. In the context of the effects of the external shocks on the balance of power between the nationals and multinationals, the government's political strategy could be understood as an attempt to restrain the multinationals' accumulation of excess market power over the medium term—the multinationals, at least, have viewed the institutional setup as being skewed against them by a government that is trying to strengthen the Chadian fuel importers' position.

Solutions. Preliminary steps have been taken that might result in a reform program that could end the country's damaging fuel shortage. To be successful, the program needs to incorporate incentive mechanisms that induce both the nationals and multinationals to increase their import activities, to reopen the filling stations, and to “voluntarily” replenish the national emergency reserves. Reducing the “unnecessary” degree of risk involved in the suppliers' provisioning activities will hold the key to the Chadians' ability to—again—buy the desired quantities of petrol and diesel at internationally comparable prices.

B. Monetary Developments

7. Monetary data at end-December 1998 indicate that broad money declined by some 6 percent, partly reflecting a deterioration in the external position of the central bank. According to the staff of the national agency of the Bank of Central African States (BEAC) in Chad, this development is the result of capital outflows, associated with the rumors of a possible devaluation of the CFA franc in January 1999 in connection with the switch of the CFA franc peg from the French franc to the euro. It remains very hard to draw any definitive conclusions from these data as the estimation of currency in circulation has always constituted a problem in the BEAC countries;³ however, bank deposits are estimated—on the basis of more reliable data—to have declined also (by 3.1 percent of beginning-of-period money stock), thus giving evidence of some shrinking in money demand in 1998. During the same period, domestic credit declined by about ½ of 1 percent of beginning-of-period money stock, as the increases in net credit to the treasury and in credit to the economy were more than offset by a reduction in net claims on other nongovernment public agencies (Table 7). Of the five banks operating in Chad, the regional banking authority rated three as sound and two as fragile. None was rated in critical condition.

C. External Developments

8. External developments in 1998⁴ were characterized by an improvement in the trade balance, resulting, in part, from an improvement in the terms of trade of about 2.4 percent (Table 6).⁵ Export volumes are estimated to have risen by 13 percent, reflecting buoyant cotton exports, which grew by 23 percent, and increases in exports of livestock, arabic gum, and animal hides. Despite the petroleum import—and weather—related transportation problems, import volumes are estimated to have risen by some 4 percent, with intermediate goods

³With substantial stocks of unsorted BEAC notes remaining at the various national agencies of the BEAC and in the absence of sampling procedures to sort out these stocks, monetary aggregates in the BEAC countries, and in particular those on gross foreign assets and liabilities and currency in circulation, are flawed and thus difficult to interpret, especially over time. See also Table 7, footnote 1.

⁴The figures in this section are staff estimates based on partial information available during the last quarter of 1998. They will be subject to considerable revision as the central bank has not yet made any balance of payments estimates for the year.

⁵In 1998, the export price for Chadian cotton averaged CFAF 893 per kilogram (69 cents per pound), an increase of 5 percent over 1997. Some 70 percent of Chadian cotton exports for 1998 were settled in 1997 in the future market at an average price of CFAF 910 per kilogram (70 cents per pound), while the remaining 30 percent were sold in 1998 at an average price of CFAF 854 per kilogram (66 cents per pound). Thus, this intervention in the future market in 1997 shielded the cotton company (COTONTCHAD) from the sharp reduction in world cotton prices that took place in 1998.

increasing by 10 percent, in connection with buoyant cotton ginning activity, and final goods by 5 percent, reflecting greater consumption. Imports of equipment goods are estimated to have increased by less than 2 percent in real terms, and volumes of fuel imports to have declined by some 30 percent. Overall, the current account deficit, excluding grants, is estimated at 17 percent, as against 20 percent of GDP in 1997. Net capital inflows amounted to about 12 percent of GDP, consisting mainly of project grants and concessional loans in support of the public investment program. Net foreign reserves are estimated to have declined by some US\$10 million.⁶

III. REPORT ON THE DISCUSSIONS

9. During the first round of discussions, the staff team assessed the performance at end-September 1998 and found that, despite substantial progress, five of the ten performance criteria had not been observed (Table 1). On the fiscal side, shortfalls in donor aid and revenue resulted in the nonobservance of the performance criteria on government borrowing from the banking system and the primary current balance, while delays in negotiations with external creditors generated small external arrears at end-September. The civil service reform program was not technically adopted until November, while the privatization of the sugar company (SONASUT) was delayed. In addition, several structural benchmarks were missed. Furthermore, in examining the government's fiscal accounts at end-September 1998, the mission found that the quality of government accounting had deteriorated and that the treasury had considerable difficulty reconciling recorded revenue and expenditure with banking information on the government's accounts.

10. The mission informed the authorities that deficiencies in program execution needed to be remedied before completion of the midterm review could be recommended. In particular, understandings were reached on a revised fiscal program for 1998 and on a set of remedial actions, both administrative and structural, to be implemented before the end of 1998.

11. The second round of discussions reviewed progress for the entire year and concluded that the remedial measures taken by the authorities in the fourth quarter of 1998 were adequate to bring the program back on track. Box 2 summarizes the actions taken in the last quarter of the year.

⁶In Table 6, the change in net reserves is calculated as the change in liabilities of the BEAC plus the change in reserve assets.

Box 2: Status of Implementation of Remedial Actions

Financial targets for end-December 1998

- | | |
|---|----------|
| • Current primary surplus of 1 percent of GDP | exceeded |
| • Clearance of 1998 external payment arrears | done |
| • Settlement of current obligation to CNRT and CNPS | done |
| • Freeze of the prior-to-1998 domestic arrears at their end-October 1998 level | done |
| • Resolution of the accounting problem that affected the end-September 1998 fiscal accounts | done |

Structural reforms for end-December 1998

- | | |
|--|--|
| • Solicitation of bids for the privatization of the sugar company SONASUT | postponed to second quarter of 1999 (see para. 26) |
| • Establishment of a technical and financial framework to evaluate the bids for the management contract of the electricity company STEE | done |
| • Adoption of the report on civil service reform | done |
| • Solicitation of bids for restructuring the postal and telecommunications office ONPT | done |
| • Solicitation of bids for granting an operating license to a private cellular telephone company | done |
| • Completion of the negotiations on the privatization of the parastatal bank BTCD with the first bidder, or initiation of negotiation with the second bidder | done |
| • Cancellation of all the temporary measures introduced in 1998 to regulate petroleum product imports | done |
| • Solicitation of bids for the privatization of the slaughterhouse AFF and the Hotel du Chari | done |
| • Solicitation of bids for the privatization of the airline company Air Tchad | to be liquidated |
| • Solicitation of bids for the road maintenance company SNER | in progress (see para. 28) |

12. This section first considers the fiscal outturn at end-September 1998, compared with program objectives, and the outcome for the year as a whole in the light of the revised fiscal targets set in November 1998. It then presents the progress made on structural reform at end-September and at end-December after remedial measures were taken. Finally, the economic and budgetary outlook for 1999 is considered, as well as the medium-term framework.

A. 1998 Fiscal Policy

13. Fiscal policy in the first nine months of 1998 was improved over 1997 but fell short of program objectives (Table 5). In particular, the primary current balance at end-September registered a surplus of 0.5 percent GDP, compared with the program performance criterion of 1.2 percent of GDP. Revenue was 28 percent higher than in the first nine months of 1997 but not as high as had been envisaged in the program, while current expenditure was within the program limits.

14. On the revenue side, the most notable improvements were in customs revenue, which exceeded the program performance criterion, confirming that the first measures taken to improve the efficiency of the customs had begun to bear fruit.⁷ Petroleum import taxes were higher than in 1997, despite problems with the supply of petroleum products.⁸ Collections of corporate income tax increased, but were constrained by almost a 50 percent decline in the profits tax of the cotton company, COTONTCHAD, while the introduction of the single business tax for small taxpayers improved revenue performance. However, overall domestic tax collection was much smaller than anticipated, mainly because of external events. In particular, the electricity company, STEE, and SONASUT the main public enterprises collecting the turnover tax (TCA) for the treasury, experienced serious cash-flow problems and accumulated tax arrears. Fuel shortages prevented STEE from producing electricity on a regular basis, while imports of sugar from world markets, particularly Brazil, virtually halted SONASUT's sales in the second half of the year. Other enterprises in the formal urban sector faced a similar problems because of power shortages. The situation was exacerbated by a two-month truckers' strike during the third quarter precipitated by the imposition of the turnover tax on transport activities, which was ultimately settled by cutting in half a freight tax earmarked for road maintenance. Finally, the lack of electricity in government offices had a disproportionately large effect on the work of the domestic tax directorate, which is highly computer dependant. By contrast, the effect on customs, which has no computers, was limited.

15. There were several difficulties at end-September on the expenditure side. First, spending in the priority sectors (health, education, public works and social affairs) was slow in the first half of 1998, as ministries continued to operate in those sectors with their 1997 supplies, which, because of late donor disbursements, had not arrived until the very end of that year. Second, defense expenditure was higher than budgeted because the government had allocated in its budget only nine months of soldiers' salaries, which had all been disbursed. Finally, the government had not fully respected its financial obligations to the two social security agencies.

⁷These measures include the reinforcement of the inspection and control work positions and the incorporation of the national guard unit (GNNT) in charge of combating fraud and smuggling under the authority of the customs directorate. They are part of a comprehensive plan, recommended by the Fund in mid-1998, to improve the efficiency of the customs by improving tax assessment, simplifying and computerizing import declarations, computerizing the valuation database, and strengthening control on import exemptions and bonded warehouses. A Fund expert in customs administration was posted in N'Djamena for a six-week period in November-December to help the authorities implement this plan.

⁸Imports of diesel fuel for STEE are tax exempt, and thus the interruption of these supplies did not have as much of an impact on tax revenue as might have been expected. Imports of other fuels were not as seriously affected by the refinery problems in Nigeria.

16. In view of the end-September outcome and the prevailing economic situation, it was clear that the original end-December fiscal objectives could not be achieved. Thus, the mission worked with the authorities to craft a revised fiscal program for 1998 that would close some of the end-September gap, and that took into consideration (a) the negative effects on the tax yield of the particularly difficult economic conditions in 1998; and (b) the shortfall, because of program delays, in external financial assistance which was estimated to be less than 30 percent of that initially envisaged in the program (see below).

17. Rather than establish separate revenue and expenditure targets, the authorities focused on bringing the current primary fiscal surplus to 1 percent of GDP, as against an initial program target of 1.7 percent of GDP (Table 5). Spending on priority sectors was to be reenforced, defense expenditures limited, and social security allocations restored. Repayments of pre-1998 domestic arrears were frozen at their end-October level of under 1 percent of GDP. Program financing was to be ensured by using the government's cash balances and by eventually allowing recourse to advances from the central bank, within the limits of the country's statutory ceiling.

18. In the event, at end-December 1998, the current fiscal primary surplus was about 1.1 percent of GDP, slightly above the revised target. Total revenues reached only 7.7 percent of GDP, but the authorities compressed primary current expenditure to just under 6.6 percent of GDP. Meanwhile, current expenditure was 7.7 percent of GDP, compared with the 8.3 percent envisaged in the original program. The spending priorities established in the revised program were respected. In particular, spending on materials and supplies and on domestic transfers was cut by 20 percent; the tight control on the wage bill continued, with outlays representing some 41 percent of total revenues, as against 45 percent in 1997; and defense expenditure was held some 10 percent below budgeted levels.⁹ The pace of spending on priority sectors accelerated markedly, and committed spending in these sectors reached 90 percent of programmed targets at end-December 1998, an increase of 30 percent over 1997.

19. No repayment of pre-1998 domestic arrears was effected during the last two months of the year. For the year, the government reduced net domestic arrears by 0.4 percent of GDP.¹⁰ This reduction was substantially less than had been envisaged in the program

⁹The government acknowledged that Chadian soldiers had been sent to the Democratic Republic of the Congo but noted that the expenses of their deployment were being borne by a consortium of the Congo's allies. The mission found no evidence that government funds were being used to support the deployment.

¹⁰At end-September, there was a small accumulation in net domestic arrears, but, with a shortfall in donor aid of CFAF 14 billion, no net repayment of arrears under the program was required. The program provides that the required repayment of domestic arrears be adjusted downward for any shortfall in donor aid. If all anticipated donor aid had been received, the

(continued...)

(2.5 percent of GDP), but overall donor assistance was about 3 percent of GDP short of what had been anticipated because, with the postponement of the Fund's midterm review, both the African Development Bank and the World Bank had deferred their disbursements. There was some accumulation of 1998 domestic arrears, mainly in the priority sectors; the government could not prefinance expenditure as budgetary aid from the European Union had been earmarked for these sectors. This aid was made available only in late December to settle outstanding obligations. As anticipated in the revised financial program, cash-flow management in November-December was particularly tight, and the government had to run down its cash balances to meet its obligations. As a result, net bank credit to the government was some CFAF 3 billion higher than the initial program target.

20. The government accumulated the equivalent of some US\$2 million of new external arrears in the first nine months of the year for a variety of technical reasons.¹¹ These arrears, mainly to multilateral creditors, were cleared by year's end. The authorities completed discussions on the rescheduling of arrears to Russia, and the agreement is awaiting signature by both parties.¹² The remaining bilateral arrears are to Israel, and no progress was made on this issue because, in the absence of diplomatic relations between the two countries, negotiation of a rescheduling agreement has not been possible. Relations with all other non-Paris Club creditors have been normalized.

21. Investment expenditure for the year was less than envisaged in the program, as external project grants slowed markedly in the fourth quarter of the year and government contributions were reduced in connection with the revenue shortfalls and the reduction in donor budgetary assistance. Thus, the overall deficit for 1998—on a commitment basis excluding grants—stood at 7.9 percent of GDP, compared with 8.6 percent in the program.

22. In regards to the accounting problems detected in the course of the first mission, a complete inventory of government accounts was made during the fourth quarter, dormant accounts were closed, and treasury accounts were consolidated, thereby facilitating financial

¹⁰(...continued)

required arrears clearance would have been CFAF 12.2 billion. Total gross payments of arrears in 1998, mainly salary arrears, amounted to CFAF 9.5 billion and were effected for the most part in the first half of the year to reduce the risk of a general strike in the civil service.

¹¹Arrears to the Central African States Development Bank (BDEAC) accumulated because the conflict in Brazzaville, the seat of the BDEAC, made payment difficult. Obligations to the Arab Bank for Economic Development in Africa (BADEA) and the Organization of Petroleum Exporting Countries (OPEC) Fund are related to loans that had been committed but not drawn and for which the government sought and obtained rescheduling on concessional terms.

¹²This agreement is consistent with the 1997 understanding between Russia and the Paris Club.

monitoring. During the second visit, the authorities and the staff team resolved all the inconsistencies in the government accounts and reached understandings on the accounting procedures necessary to monitor program performance in 1999.

B. Structural Reforms in 1998

23. Substantial progress was made in advancing structural reforms but at a slower pace than had been anticipated in the program. In several instances, it proved necessary to take actions different than those envisaged in the program to achieve the program objectives.

24. The commission on civil service reform, having completed its yearlong work in August, prepared a thorough and frank report on the state of the civil service, in which it proposed possible avenues for reform. The report was approved by a ministerial committee, headed by the Prime Minister, in September, but it was not formally adopted by the council of ministers until December because of scheduling difficulties. Thus, the performance criterion for end-September technically was not observed. The diagnosis of the commission was severe, noting that elaboration of a concrete strategy and a detailed action plan would require further work. However, in the short term, actions to be taken included (a) establishing a permanent staff in charge of elaborating and managing the reform; (b) publicizing the findings of the commission to mobilize widespread support for the reform effort; (c) strengthening the data on the civil service; and (d) preparing draft legal texts, including revision of the civil service statute, for consideration by the government. This work is now underway, with the permanent staff having been established in January 1999. The first phase of work is aimed at incorporating changes in the 2000 budget. In the interim, the government judged it premature, without the necessary legal and technical preparatory work, to implement a wholesale reform of the wage scale and promotion system in the context of the 1999 budget. Thus, it submitted to parliament a budget that included a freeze on salaries for a fourth consecutive year. But after considerable debate, the parliament modified the budget to include a 5 percent wage increase, which would be offset by cuts in other personnel expenses (Appendix I, para. 17).

25. At the end of July, the government (a) adopted a revised list of imported products exempted from the TCA, eliminating all but a few basic foodstuffs, fertilizers, and medicines, and (b) updated the customs valuation database—both end-July performance criteria.

26. Bids for the privatization of STEE were solicited at end-September 1998, as envisaged in the program. However, the second structural performance criterion, the solicitation of bids for the privatization of SONASUT, was not observed. The process required the appointment of an investment bank to prepare the privatization offer, which was carried out within the framework of a World Bank project and thus had to follow the Bank's procurement procedures. Operational difficulties, both in Chad and at the Bank, led to delays in the issuance of the solicitation for bids. In addition, the Bank decided to postpone the deadline for bids to ensure a larger pool of respondents. As a result, the investment bank was not chosen until October 1998. The final negotiation of its contract, including consultation with the Bank, proved difficult, and the investment bank began its work only in January 1999. The solicitation

of bids for the SONASUT privatization is now scheduled for the second quarter of 1999. The privatization package will include a provision for the elimination of tariff protection within five years.

27. In the area of telecommunications, the solicitation of bids for a cellular phone company was anticipated at end-June 1998. However, prior to launching such a bid, the regulatory framework governing the telecommunications sector had to be put in place. This complex piece of legislation was ultimately approved by the parliament in June, thus delaying the solicitation of bids for the cellular operator until end-December 1998. The World Bank counseled the government, throughout the process, with the result that the restructuring of the telecommunications sector will unfold in three phases: in the first phase, the post office will be separated from the domestic phone company, and the latter will be merged with the partially private long-distance phone company. The second phase will involve restructuring the capital of the new telecommunications company by ending the participation of existing private shareholders. The last phase will deal with the privatization of the telecommunications company. Although this procedure is complicated, the Bank advised that it was the best way to ensure that no potential buyer had an undue advantage in the process.

28. Bids for the privatization of four small parastatals were to have been solicited by end-September 1998, but only that for the slaughterhouse was done. For the remaining parastatal bank (BTCD), the government continued negotiations with a potential buyer. That bank had been chosen in an earlier bid solicitation, but its suitability had been questioned by the regional banking supervisory authority (COBAC), mainly because the prospective buyer's parent bank had been involved in other banks in the CFA franc zone that had failed and not made good on their remaining obligations. Ultimately, an agreement acceptable to all parties could not be reached, and, in January, the government began discussions with the second-place bidder (Appendix I, para. 18). The repurchase of the non-paid-up shares of the Banque de Développement du Tchad (BDT) by a private investor is awaiting COBAC approval. The remaining two privatization operations (Air Tchad and the road maintenance enterprise, SNER) were subject to a variety of operational and technical delays, both within the government and at the World Bank. In February 1999, the government approved consultants' recommendation that Air Tchad be liquidated and that the provision of domestic air service be liberalized. Discussions are ongoing with the World Bank on the appropriate procedures for privatizing SNER, with both sides evaluating the privatization consultant's report.

29. The government expressed its willingness to proceed with a reform of the cotton sector in the context of a new three-year ESAF arrangement, provided adequate technical assistance was forthcoming from the World Bank. The reform would increase private sector involvement in all phases of cotton production and aim at increasing cotton farmers' share in sector revenues. The reform process will be a multiyear effort involving a comprehensive revision of sector regulations. In the interim, the government has contracted with a consulting firm to develop a plan to separate the oil and soap manufacturing activities from COTONTCHAD. The plan should be available by end-March 1999, about three months behind the schedule envisaged in the program.

30. The audits of the two social security institutions (CNRT and CNPS) were completed during the third quarter of 1998. They showed much more serious financial problems than had been anticipated and highlighted the need for a rethinking of the entire social security system in Chad—not just a financial restructuring of the CNRT and CNPS, as the program had envisaged. In the last quarter of 1998, the government settled all its current obligations to the two agencies, validated the accountants' reports, and proceeded to formalize the government's debts to the two institutions as a first step on the path to a wholesale reform (see Appendix I, paras. 10 and 21). In the coming months, the government is expected to develop a plan for a full reform of the social security system, in coordination with the World Bank and other donors.

C. Economic Outlook for 1999

31. Economic growth in 1999 is projected at just above 1 percent, because it is unlikely that the exceptional rainfall conditions that prevailed in 1998—and boosted foodstuff output to a record level—will continue in 1999. Assuming that foodstuff production returns to its five-year average and that cottonseed production increases by some 5 percent, agricultural output would drop by some 10 percent in 1999. The decline in the volume of cotton fiber production, a consequence of the decline in the crop of cottonseed in 1998, is expected to be offset by a recovery in electricity production and strong activity in construction. While activity in manufacturing is projected to remain flat, the service sector is projected to grow by about 3.5 percent as transportation difficulties ease. Inflation is projected to be less than 4 percent.

32. The budget for 1999 was approved by parliament in early 1999 and targets a current primary budget surplus of 2.3 percent of GDP. Revenue is projected at CFAF 107 billion (10.4 percent of GDP), an increase of 40 percent over 1998, while current primary expenditure will be contained at CFAF 83 billion (8.1 percent of GDP) (Table 5). During the discussions, the staff team expressed its concern that, in light of the 1998 fiscal outturn, the objectives of the budget for 1999 appear very ambitious.¹³ It urged the authorities to monitor closely the execution of the budget and to ensure that the quarterly benchmarks on the current primary balance are met. The staff team recommended also that the authorities put in place a contingency mechanism of exceptional measures, including restricting spending in nonpriority sectors and suspending payments of domestic arrears, that would be taken if actual financial conditions were to be less favorable than anticipated in the budget.¹⁴ The authorities stressed

¹³Overall economic growth is projected to be low in 1999. However, this is mainly due to a slowdown in the informal sector, particularly agriculture. If the energy crisis is resolved, formal sector growth, apart from cotton ginning, should remain brisk, supporting optimistic revenue projections.

¹⁴In the wrap-up meeting with the high interministerial committee chaired by the Prime Minister, the Minister of Finance confirmed the determination of the government to continue
(continued...)

that they would restrict the pace of spending in the first half of the year until revenue projections are confirmed. They also indicated their willingness to submit a revised budget to parliament, if necessary. During the discussions, the two parties also noted that the ability of the authorities to achieve the 1999 budget objectives would be enhanced markedly by the technical assistance support that the Fund was providing to the key directorates of the Ministry of Finance.¹⁵

33. The increase in revenue projected in the budget is predicated mainly on the set of measures recommended by the Fund to widen the tax base and limit exemptions (Appendix I, paras. 15 and 16). In particular, the doubling of the rate of the installment tax on industrial and commercial profits and its generalization, the streamlining of the list of products that are exempted from the TCA, and the rationalization of the mechanism to budgetize exemptions on externally financed projects are expected to boost noticeably revenue collections.

34. On the expenditure side, the 1999 budget places a particular emphasis on enhancing the resources available to the priority sectors of education, health, and social affairs, in order to strengthen essential infrastructure; rehabilitate schools, basic health and training facilities; and improve availability of the necessary supplies (Appendix I, para. 17). Military spending is projected to increase by 36 percent over 1998, with wages increasing by 28 percent and spending on material and supplies by some 92 percent. Regarding the one-off increase in the military wage bill, the authorities stressed that the new salary payment system introduced in the 1999 budget had been put in place to rectify a flaw in the government wage policy and to headoff a serious crisis in the army, which appeared imminent, given the mounting frustration of the soldiers with the previous payment system.¹⁶ As to the increase in spending on supplies, the authorities indicated that it resulted mainly from the compression of those expenditures by half in 1998 because of budgetary restrictions, since the corresponding appropriations for 1999 were actually set at their original 1998 level.

35. In 1999, government investment spending will rise to reach 9.4 percent of GDP from 8 percent of GDP in 1998; it will give priority to educational, health, and transportation infrastructure (34 percent), agriculture services (26 percent), human resources (19 percent), and rural development (14 percent). In order to enhance the quality of public investment, and

¹⁴(...continued)

to exert tight control on budget execution in 1999 and, if needed, to take the exceptional measures referred to by the staff or present a revised budget to parliament.

¹⁵In addition to the Fund expert on customs, (see footnote 7), whose assignment has been extended at the request of the authorities to include at least three additional six-week visits in 1999, two other Fund experts will be posted during the first quarter of 1999 on long-term assignments at the treasury and tax directorates.

¹⁶The authorities stressed also that the new payment system was expected to curb drastically criminal activity by unpaid soldiers and improve safety in the main urban areas.

to better control and improve project execution, a special unit has been established at the Ministry of Finance to ensure adequate monitoring and timely disbursement of counterpart funds, and to report on a quarterly basis on the physical and financial execution of the investment program.

D. Medium-Term Economic and External Outlook

36. As a result of the structural adjustment policies pursued under the ESAF-supported program, per capita economic growth has become positive, inflation has decelerated, and a current budgetary surplus was achieved for the first time in 1998. Against this background, the discussions on the medium term focused on the policies required to sustain economic growth and reduce Chad's dependence on external aid, particularly in face of the country's poor infrastructure and its shortage of skilled human resources. The authorities expressed confidence that the strategy being followed, which centered on structural reform, private sector development, and consolidation of the public finances, was correct. They noted that the exploitation of Chad's oil resources, now expected to begin in 2001, would not only provide important financial resources to the country but would also challenge the government's financial management capacity. The government has reiterated its determination to allocate oil revenues primarily to investment in key social sectors, and this principle was confirmed by the parliament in December 1998 with its adoption of a law on oil revenue management.

37. Economic prospects for 2000 and beyond appear favorable, with a projected average annual economic growth of 6 percent and stabilization of inflation below 3 percent per year. Growth is expected mainly in the agricultural sector, with continued gains in cotton production and foodstuff output, expansion in the cotton-and sugar-based manufacturing activities, and the booming of activity in the public works sector in connection with the planned oil investments.

38. External prospects in the medium term will be influenced significantly by the exploitation of the country's oil resources. It is projected that the current account will deteriorate sharply during 2000-02; the deficit will peak at 38 percent of GDP in 2001, mainly because of the considerable increase in imports required for the investment phase of the project (Box 3). With oil exports commencing in the second half of 2002, the current account deficit will narrow progressively, falling below 5 percent of GDP as of 2005 (Table 6).

Box 3: Oil Project's Main Indicators

	1997- 1998	1999	2000	2001	2002	2003	2004	2005
Investment (in US\$ million)	47	89	335	465	424	207	0	0
Upstream development	389	75	307	393	312	207	0	0
Export pipeline		14	28	72	112	0	0	0
Investment (in percent of GDP)	1.4	4.8	16.9	21.6	17.0	4.1	1.4	0.0
Oil GDP/Non-oil GDP (in percent)	0.0	0.1	0.4	0.6	7.9	46.2	43.2	40.0
Imports								
In US\$ million	44	84	317	442	402	196	0.0	0.0
In percent of GDP	1.4	4.5	16.1	20.5	16.1	5.4	0.0	0.0
Exports								
In US\$ million	0	0	0	0	196	1,263	1,291	1,297
In percent of GDP	0	0	0	0	7.8	34.5	33.3	31.7
Profit remittances (in US\$ million)	0	0	0	0	167	1,077	1,081	1,069

39. Total investment in the oil project is estimated at some \$1.5 billion, of which 95 percent is imported. It includes upstream development investment (85 percent of total) and the construction of a pipeline for oil exports.¹⁷ Upstream development, which started in 1997, should accelerate in the second half of 1999, once the construction of the pipeline begins; it is expected that some 80 percent of the total investment will be carried out during the period 2000-02.

40. Excluding the oil project, the current account deficit should narrow continuously throughout the medium term, declining from 17 percent of GDP in 1998 to 14 percent in 2002, and some 12 percent in 2005. This improvement will stem mainly from a strengthening of the trade balance and a progressive reduction in the deficit of the services balance. After a decline of 7 percent in 1999, mainly owing to the drop in cotton exports,¹⁸ export volumes are projected to rebound by 8 percent in 2000; annual growth of some 5.5 percent is expected thereafter, reflecting the expansion in cotton and livestock output, rising textile production,

¹⁷Consideration by the Executive Board of the World Bank of loans of US\$50 million for Chad and US\$80 million for Cameroon to finance their respective shares in the construction of the pipeline is tentatively slated for the summer of 1999.

¹⁸The decline in cotton exports in 1999 is directly related to the decline in cottonseed output in 1998.

and increased diversification of farm output. After a decline of 1 percent in 1999 in connection with the slowdown in economic activity, the volume of imports will grow at an annual average rate of some 5 percent. This sustained import activity will be driven by imports of equipment, which are projected to increase by some 7 percent per year, consistent with the expansion of the government investment program and rising private sector investment. The volumes of intermediate and consumption goods are projected to grow more moderately.

41. Chad's external financing requirement for 1999 is estimated at some CFAF 132 billion (US\$235 million), of which CFAF 46 billion will be covered by concessional loans and CFAF 42 billion by grants, thus leaving a financing gap of CFAF 44 billion (US\$80 million), which is expected to be covered by the Fund and other multilateral and bilateral donors.¹⁹ For the period 1999-2002 the financing requirements, excluding the oil project, are estimated at an average of CFAF 120 billion per year (US\$215 million) and are expected to be covered mostly by official transfers and concessional loans.

42. In preparation of the forthcoming analysis of the sustainability of Chad's external debt under the Initiative for Heavily Indebted Poor Countries (HIPC Initiative) which is expected to be carried out after the present ESAF arrangement ends during the second quarter of 1999, the staffs of the Fund and the World Bank, in collaboration with the Chadian experts, undertook a thorough collection of the available data on the Chadian external debt and began the work of data reconciliation. The preliminary analysis of these data indicate that the stock of Chad's external debt,²⁰ including to the Fund, declined from 61 percent of GDP in 1997 (CFAF 540 billion) to 57 percent in 1998 (CFAF 558 billion). Debt-service payments amounted to 2.7 percent of GDP in 1998 and are projected at 2.2 percent in 1999. The 1997 update of the debt sustainability analysis of 1996 (EBS/97/91;5/30/97) concluded that Chad's debt burden was not large and was sustainable.²¹

¹⁹The program is fully financed by existing commitments through March 1999, and there is a small gap at end-June. There are preliminary indications that adequate financing will be available for 1999, but these commitments will be firmed up in the context of a possible follow-on ESAF arrangement.

²⁰Approximately 80 percent of external debt is owed to multilateral creditors.

²¹On the basis of this analysis debt service due, including to the Fund, was projected to decline from 10.7 percent of exports of goods and services in 1997 to 7.6 percent in 2000. The debt service due was projected to increase slightly in 2000-05, averaging 8.8 percent of exports of goods and services. The debt stock as a percent of GDP was projected to decline progressively over the next ten years, reaching 50 percent in 2006. This analysis did not take into account the exploitation of the country's oil resources, which is scheduled to begin in 2002.

IV. STAFF APPRAISAL

43. Progress has been made in reforming the Chadian economy, albeit often not always exactly as envisaged under the third annual ESAF program. It is natural to question the commitment of the authorities, given their request for waivers for five performance criteria at end-September 1998, especially as this follows a similar request during the second annual ESAF program. But progress on budgetary management has been marked—not only in 1998, but over the course of the three-year ESAF program. Revenues grew from 4.9 percent of GDP in 1994 to 7.7 percent of GDP in 1998,²² while current expenditures were reduced from 10 percent of GDP to 7.7 percent of GDP over the same period, with spending in the priority sectors up by 50 percent. In 1998, revenue collection was hampered by the energy crisis, which was not of the Chadians' making, although government actions may have aggravated the situation. The revenue difficulties in 1998 have underscored that progress on the revenue front can come only through enlarging the tax base, and that continued reliance on the existing formal sector for more tax revenues will ultimately be counterproductive. To this end, the authorities should make good use of the technical assistance being offered to the customs and tax directorates.

44. For the first time in 1998, the government demonstrated the ability to control expenditures and to calibrate spending with revenues in consolidating budgetary operations, thereby doubling the primary fiscal surplus in the last quarter of the year despite lower-than-projected revenue. It is worth recalling that, as recently as in 1996, over CFAF 11 billion (1.3 percent of GDP) was spent outside regular budgetary procedures. The staff would underscore the importance of strengthening treasury procedures and monitoring, with the technical help of donors, so as to be able to control better budgetary outlays. This is particularly important in light of the aggressive 1999 revenue and expenditure projections. The authorities will need to focus on their primary balance targets, while taking care that outlays do not outstrip revenue.

45. External financing in 1998 was again much lower than had been programmed, and a substantial part came very late in the year. Part of this problem is due to delays in policy implementation, but some of it was caused by bureaucratic delays at the donors' level. Each year since 1995, an average of half of the financing that had been promised did not materialize. The program allowed for such contingencies by reducing the required repayment of domestic arrears, but the lack of assured funding has rendered cash management particularly difficult. In the context of any following ESAF arrangement, the authorities will need to be more careful in ensuring observance of donor conditionality, while donors should consider how to ensure a more even flow of support throughout the budget year.

46. Despite lower-than-expected revenues and external financing, the authorities made all required external debt-service payments, although there were some delays at end-September

²²Based on the recently revised GDP numbers.

1998, which were quickly remedied. Debt management has been a strong aspect of the program, and the authorities should continue to commit resources to its improvement.

47. In the structural reform area, progress was slower than anticipated throughout the ESAF program. There are three sources of difficulty: (a) at times, the authorities have not been fully committed to moving forward expeditiously; (b) there is insufficient technical expertise to manage numerous reform dossiers simultaneously; and (c) advice from donors has been sometimes contradictory, and support has not been delivered on schedule. Thus, the fixed deadlines required by the annual ESAF programs have at the same time bedeviled the authorities and given them an often-needed incentive to push forward.

48. In 1998, there was initially some hesitancy to move forward on the electricity and sugar dossiers, but it is clear that the authorities are now clearly committed, and the process is far enough along that they cannot turn back. The staff would urge that, before proceeding to any new three-year ESAF arrangement, the request for offers for privatizing the sugar company be launched and a private manager for the electricity company be installed. The staff welcomes the considerable progress made in the privatization process for the smaller companies, especially in the last quarter of 1998, but again any new ESAF arrangement should be predicated on full completion of this work.

49. Cotton reform has not advanced markedly during the program, having been mired in studies and strategic arguments among external partners. This reform is necessary to encourage agricultural growth and to ensure that farmers receive more of the proceeds from cotton sales. The staff would urge the authorities to move expeditiously to elaborate a reform strategy based on studies already carried out, with the close help of its external partners, and with the full incorporation of the strategy into any new arrangement with the Fund.

50. The energy crisis in Chad had a serious impact on the formal sector in 1998, and its repercussions will continue to be felt in 1999. The immediate solution to the crisis is not evident, but the authorities should eschew burdensome import regulations and rely on the private sector to effect delivery of petroleum products. A thorough review of petroleum pricing is needed.

51. Overall, in the future, the authorities need to be more active in implementing policies to keep the program on track. Such efforts were made in the last quarter of 1998, both to bring the financial program back on track and to advance structural reform. The results were not perfect, but, given capacity constraints and the relatively short amount of time to redress some problems that had built up over the course of the year, the staff view is that adequate progress was made. Thus, it recommends that the requested waivers be granted and the midterm review under the third annual ESAF arrangement be completed.

52. It is recommended that Chad remain on the standard 12-month consultation cycle.

V. PROPOSED DECISION

The following draft decision is proposed for adoption by the Executive Board:

1. Chad has consulted with the Fund in accordance with paragraph 2 (d) of the third annual arrangement under the Enhanced Structural Adjustment Facility (EBS/98/74, Sup.1, 4/30/1998).

2. The letter of the Minister of Finance and Economy of Chad dated March 10, 1999, together with the annexed memorandum, shall be attached to the third annual arrangement, and the letter of the Minister of Finance and the Minister of Planning and Cooperation of Chad dated May 5, 1997, together with the attached memorandum, shall be read as supplemented and modified by the letter of March 10, 1999.

3. The Fund determines that the midterm review provided in paragraph 2 (d) of the third annual ESAF arrangement for Chad has been completed and that, notwithstanding the nonobservance of performance criteria with respect to targets for net bank credit to the government and the current primary balance, specified in paragraph 2 (a)(i) and (ii), respectively, the adoption of the recommendations on civil service reform and the solicitation of bids for the privatization of SONASUT, specified in paragraph 2 (b)(ii) and (iii), respectively, and new external payments arrears, specified in paragraph 2 (c)(vi), Chad may proceed to request the disbursement of the second loan under the third annual arrangement (EBS/99/36).

Table 1. Chad: Quantitative Performance Criteria and Benchmarks for the Third Annual Arrangement Under the ESAF, 1998

	Stock		Cumulative Changes from December 1997					
	Dec. 1997		1998					
	Prov.	March	June		September		December	
	Ind. bench.	Ind. bench.	Bench.	Estimate	Perf. crit.	Estimate	Bench.	Estimate
(In billions of CFA francs)								
Performance criteria and benchmarks 1/								
Net credit of the banking system to the government 2/	47.0	6.4	1.0	...	-5.1	...	-7.5	...
Including new disbursements from the Fund 3/	47.0	6.4	7.6	2.2	1.6	3.9	-0.8	1.9
Domestic payments arrears 4/	...	-3.8	-3.8	...	-12.2	...	-25.6	...
Adjusted for external program financing			-1.5	1.6	0.0	0.0	-7.7	-3.6
External payments arrears 4/ 5/	4.1	-1.7	-4.1	-0.8	-4.1	-0.5	-4.1	-1.6
Of which: in cash 6/		-1.7	-1.7	-0.8	-1.7	-1.1	-1.7	-1.1
External loans contracted or guaranteed by the government on nonconcessional terms 7/ 8/								
Less than one year's maturity	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Medium- and long-term loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Current primary balance	7.1	2.3	7.0	1.5	12.1	5.2	17.4	10.5
Customs revenue 9/	20.7	4.4	11.0	13.6	18.6	20.0	27.5	27.4
Monitored variables								
Nonwage expenditure of priority sectors	4.7	1.7	3.5	1.0	5.2	4.6	7.0	6.1
Anticipated external program financing 10/	...	2.0	6.2	4.0	23.3	9.2	34.2	16.3
Structural performance criteria								
Adoption of the civil service reform recommendations on recruitment, pay, and promotion policy					End-September 1998		Done in December 1998	
Solicitation of bids for the privatization of sugar company (SONASUT)					End-September 1998		Expected in 1999	
Solicitation of bids for the privatization of electricity and water company (STEE)					End-September 1998		Done	
Adoption by the government of the new list of products exempted from the turnover tax and updating of the customs valuation database					End-July 1998		Done	
Structural benchmarks								
Solicitation of bids for granting a license to an independent cellular phone company					End-June 1998		Done in December 1998	
Solicitation of bids for the privatization of:								
Air Tchad					End-September 1998		To be liquidated	
Road maintenance company (SNER)					End-September 1998		Expected in 1999	
Parastatal commercial bank (BTCD)					End-September 1998		Privatized in 1999	
Slaughterhouse (Abattoirs Frigorifiques de Farcha)					End-September 1998		Done	
Adoption of a privatization plan for soap and oil operations of cotton company (COTONTCHAD)					End-December 1998		Expected in March 1999	
Adoption of a restructuring program for the two social security agencies (CNRT and CNPS)					End-December 1998		Accounts audited; plan in progress	

1/ The principal adjusters in case of shortfalls of external assistance are as follows: (a) shortfalls before end-1998 would imply a postponement of the elimination of domestic payment arrears up to the amount projected for 1998; and (b) in case of higher domestic tax revenue or external exceptional financing, one-half of the excess would be used to increase the settlement of payments arrears to suppliers and the other half to reduce net credit of the banking system to the government.

2/ The cumulative changes exclude new disbursements from the IMF, subject to an adjustment in line with the contingency provision in footnote 1 above.

3/ The cumulative changes include new disbursements from the IMF, subject to an adjustment in line with the contingency provision in footnote 1 above.

4/ No new accumulation of arrears is allowed, with the exception of external debt-service payments for which a rescheduling or a cancellation is foreseen. The reduction in domestic arrears is subject to an adjustment related to the availability of external financing (see footnote 1 above). At end-September 1998, the change in domestic arrears excludes the normal float between committed and paid expenditures during the current fiscal year.

5/ The stock of arrears at end-December 1997 includes CFAF 2.6 billion arrears owed to Russia, the rescheduling of which was postponed and is expected to be finalized during the first half of 1999.

6/ Additional rescheduling obtained in 1998 reduced cash payments arrears by CFAF 0.6 billion.

7/ Any loan with a grant element less than 35 percent. The discount rates used in the calculation of concessionality are six-month averages of the OECD commercial interest reference rate (CIRRs) (for loans with maturities of up to 15 years) and ten-year averages of the CIRRs (for loans with maturities exceeding 15 years), augmented by a margin related to the repayment period.

8/ Excluding normal import-related credits, on a disbursement basis, and credits for the financing of oil exploitation projects.

9/ Excluding earmarked revenues and those resulting from public contract taxation.

10/ Excluding new disbursement from the IMF and including debt relief.

Table 2. Chad: Selected Economic and Financial Indicators, 1994-2000

	1994	1995	1996	1997	1998	1999	2000
					Prog.	Est.	Projections
(Annual changes in percent, unless otherwise specified)							
National income							
GDP at current prices	57.9	9.6	15.7	6.9	9.7	10.9	8.5
GDP at constant prices	10.2	1.0	3.5	4.1	6.0	7.0	5.4
Implicit GDP deflator	43.3	8.5	11.8	2.7	3.5	3.6	2.9
Consumer price index (average)	41.3	9.5	11.3	5.6	3.5	4.3	3.0
Consumer price index (December to December)	49.4	10.0	10.5	0.6	3.5	3.0	3.0
Central government finance							
Revenue	9.7	40.3	32.8	14.8	35.9	11.5	14.2
Total expenditure	48.9	4.4	16.5	4.7	13.1	-3.2	12.0
Of which: current expenditure	26.2	-1.3	19.3	-4.8	13.5	2.6	8.3
Money and credit 1/							
Net foreign assets 2/	66.8	40.5	2.2	-4.8	4.3	-9.5	11.6
Net domestic assets 2/	0.2	-5.3	17.9	-4.5	5.4	3.8	-5.4
Domestic credit	14.8	-11.0	20.5	-1.0	5.4	-1.0	-2.8
Of which: net claims on central government 3/	8.1	-16.2	9.2	-3.0	-6.4	-4.5	-6.2
credit to nongovernment sector 2/	6.7	5.3	11.3	2.0	11.8	3.5	3.4
Broad money 4/	66.3	36.0	20.2	-9.3	9.7	-5.7	6.2
Velocity (GDP relative to average M2) 5/	7.3	7.7	7.0	7.2	8.3	8.6	9.0
External sector (valued in CFA francs)							
Exports, f.o.b.	75.0	64.3	-8.3	9.0	40.0	17.9	-9.2
Imports, f.o.b.	93.2	24.3	5.2	11.8	12.3	5.8	13.4
Export volumes	-20.7	35.8	-7.1	11.2	29.7	13.2	-6.9
Import volumes	-18.8	50.2	5.4	6.4	11.6	3.8	18.4
Terms of trade	-3.5	17.8	-1.5	-6.7	7.1	2.4	2.2
Real effective exchange rate(- depreciation)	-32.7	7.2	6.8	-1.6	...	7.9	...
(In percent of GDP, unless otherwise specified)							
Basic ratios							
Gross fixed investment	11.8	11.6	11.9	14.4	18.5	14.7	19.9
Central government investment	7.4	6.3	6.3	6.6	9.4	5.5	6.5
Private sector investment	4.4	5.3	5.6	7.8	9.1	9.2	13.4
Of which: oil sector	0.0	0.8	1.3	2.0	...	1.9	4.8
Gross domestic savings	-2.1	-5.1	-2.7	-1.5	3.5	0.2	1.0
Gross national savings 6/	5.1	-0.1	1.3	1.3	4.5	2.8	3.3
General government	-0.2	-0.2	-0.1	0.2	2.9	1.2	1.8
Central government	4.3	4.4	4.1	4.5	...	4.9	6.0
Other public bodies	-4.5	-4.6	-4.3	-4.3	...	-3.7	-4.1
Private sector	5.3	0.1	1.5	1.1	1.6	1.6	1.5
Central government finance 1/							
Revenue	4.9	6.2	7.2	7.7	9.0	7.7	10.4
Total expenditure	19.1	18.1	18.3	17.9	17.7	15.6	18.4
Current balance (-deficit) 7/	-5.1	-2.8	-2.1	-0.6	0.7	0.1	1.4
Current primary balance (-deficit) 7/	-3.7	-1.7	-0.6	0.8	1.7	1.1	2.3
Overall fiscal deficit (commitment basis) 7/	-14.2	-11.9	-11.1	-10.2	-8.6	-7.9	-8.0
Overall fiscal deficit (cash basis) 7/	-13.3	-11.0	-14.6	-11.5	-11.2	-8.2	-11.1
Domestic financing	-0.1	-1.0	1.4	-0.4	-0.8	0.3	-0.9
External financing (already obtained)	13.4	12.0	13.2	12.0	10.3	8.0	9.7
Financing gap (-)	0.0	0.0	0.0	0.0	-1.7	0.0	-2.3
External sector							
Current account (- deficit)							
Including official transfers 6/	-11.5	-10.4	-12.2	-15.0	-14.0	-12.4	-16.6
Excluding official transfers	-21.0	-17.6	-18.4	-20.1	-16.9	-17.2	-21.1
External debt outstanding 8/	60.0	55.8	56.4	60.8	48.7	56.7	60.6
Debt-service ratio 9/							
Including Fund	13.0	9.6	11.3	13.4	11.4	13.2	12.5
Excluding Fund	11.3	7.4	8.6	8.7	7.9	9.2	10.6
Total grants	15.0	10.9	9.2	8.9	6.7	7.6	6.4
Current grants	9.4	7.1	6.2	5.0	2.9	4.8	3.6
Capital grants	5.5	3.8	2.9	3.9	3.8	2.8	2.8
(In millions of U.S. dollars, unless otherwise specified)							
Contribution to the official external reserves of the BEAC	111.4	183.9	188.2	143.1	152.8	131.5	156.7
Nominal GDP	1,179.6	1,438.6	1,623.9	1,521.2	1,726.9	1,668.2	1,853.1
Nominal GDP (in billions of CFA francs)	654.9	718.0	830.7	887.9	1,026.7	984.2	1,113.6
CFA franc per U.S. dollar (period average)	555.2	499.1	511.6	583.7	594.5	590.0	554.0
CFA franc per U.S. dollar (end of period)	534.6	490.0	523.7	598.8	594.5	562.2	554.0
Population (midyear, in millions)	6.2	6.4	6.5	6.7	6.8	6.8	7.2

Sources: Chadian authorities; and staff estimates and projections.

1/ All the ratios to GDP in the 1997 program column are based on the new GDP estimates.

2/ Changes as percent of broad money stock at beginning of period.

3/ Defined as the treasury.

4/ For 1994 onward, including correction for currency notes not yet sorted at the Bank of Central African States (BEAC) national agency.

5/ Ratio of GDP to average broad money.

6/ For 1999 and 2000, assuming the financing gap is fully financed.

7/ Excluding grants.

8/ Including arrears, and the Fund.

9/ Scheduled debt service in percent of exports of goods and nonfactor services.

Table 3. Chad: Supply and Use of Resources at Current Prices, 1996-2002

	1996	1997	1998	1999	2000	2001	2002
	Projections						
	(In billions of CFA francs)						
Gross domestic product	830.7	887.9	984.2	1,026.6	1,113.6	1,206.8	1,414.7
Domestic demand	965.1	1,045.7	1,131.5	1,220.7	1,459.3	1,645.4	1,735.2
Consumption	853.3	900.9	981.9	1,016.4	1,090.6	1,174.0	1,268.3
Central government	64.9	58.8	57.9	70.0	78.8	85.4	95.1
Other public bodies	35.5	38.2	36.2	42.3	47.4	53.7	55.4
Private sector	752.9	803.9	887.8	904.1	964.4	1,034.8	1,117.8
Gross capital formation	111.8	144.8	149.6	204.3	368.7	471.4	466.9
Gross fixed capital formation	98.8	128.0	144.6	204.3	368.7	471.4	466.9
Central government	52.5	58.8	53.9	66.6	77.0	90.2	92.9
Private sector	46.3	69.2	90.7	137.7	291.7	381.2	374.0
Non-oil sector	35.9	51.3	72.0	88.5	103.5	120.5	136.4
Oil sector	10.4	17.9	18.7	49.1	188.2	260.7	237.6
Changes in inventories	13.0	16.8	5.0	0.0	0.0	0.0	0.0
Resource gap	-134.4	-157.8	-147.2	-194.1	-345.8	-438.5	-320.5
Exports of goods and nonfactor services	144.7	155.7	180.5	168.5	187.8	205.9	344.4
Non-oil sector	144.7	155.7	180.5	168.5	187.8	205.9	234.7
Goods	113.1	123.2	145.3	132.0	148.4	163.3	177.6
Nonfactor services	31.6	32.5	35.2	36.5	39.4	42.5	57.1
Oil sector	0.0	0.0	0.0	0.0	0.0	0.0	109.7
Imports of goods and nonfactor services	-279.2	-313.5	-327.8	-362.6	-533.6	-644.4	-664.9
Non-oil sector	-279.2	-305.4	-310.0	-316.0	-354.8	-396.7	-439.1
Goods	-148.0	-159.8	-162.6	-166.0	-182.7	-193.5	-219.3
Nonfactor services	-131.2	-145.6	-147.4	-150.0	-172.1	-203.2	-219.8
Oil sector	0.0	-8.2	-17.8	-46.7	-178.8	-247.7	-225.8
Gross domestic savings	-22.6	-13.0	2.4	10.2	22.9	32.9	146.4
Private unrequited transfers	-1.9	-3.2	-3.7	-4.0	-4.1	-4.2	-3.8
Budgetary grants (current)	16.2	6.6	12.0	10.0	10.0	10.0	0.0
Other public transfers (current)	35.8	38.2	35.2	37.0	39.8	40.3	40.8
Net factor income from abroad	-16.6	-17.0	-17.9	-19.0	-18.7	-19.3	-113.3
Gross national savings	10.9	11.6	28.0	34.2	50.0	59.6	70.0
Central government	34.3	39.7	48.0	61.3	71.5	78.0	81.7
Other public bodies	-35.5	-38.2	-36.2	-42.3	-47.4	-53.7	-55.4
Private sector	12.1	10.0	16.2	15.3	25.8	35.3	43.6
Saving-investment balance	-101.0	-133.2	-121.6	-170.1	-318.7	-411.8	-396.9
Central government	-18.2	-19.1	-5.9	-5.4	-5.5	-12.1	-11.2
Other public bodies	-35.5	-38.2	-36.2	-42.3	-47.4	-53.7	-55.4
Private sector	-47.2	-76.0	-79.5	-122.4	-265.8	-345.9	-330.4
Gross national product	814.1	870.9	966.4	1,007.6	1,094.9	1,187.5	1,301.3
National disposable income, adjusted	864.2	912.5	1,009.8	1,050.7	1,140.6	1,233.6	1,338.3
	(In percent of GDP)						
Gross domestic product	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Domestic demand	116.2	117.8	115.0	118.9	131.0	136.3	122.7
Consumption	102.7	101.5	99.8	99.0	97.9	97.3	89.7
Central government	7.8	6.6	5.9	6.8	7.1	7.1	6.7
Other public bodies	4.3	4.3	3.7	4.1	4.3	4.5	3.9
Private sector	90.6	90.5	90.2	88.1	86.6	85.7	79.0
Gross capital formation	13.5	16.3	15.2	19.9	33.1	39.1	33.0
Gross fixed capital formation	11.9	14.4	14.7	19.9	33.1	39.1	33.0
Central government	6.3	6.6	5.5	6.5	6.9	7.5	6.6
Private sector	5.6	7.8	9.2	13.4	26.2	31.6	26.4
Non oil sector	4.3	5.8	7.3	8.6	9.3	10.0	9.6
Oil sector	1.3	2.0	1.9	4.8	16.9	21.6	16.8
Changes in inventories	1.6	1.9	0.5	0.0	0.0	0.0	0.0
Resource gap	-16.2	-17.8	-15.0	-18.9	-31.0	-36.3	-22.7
Exports of goods and nonfactor services	17.4	17.5	18.3	16.4	16.9	17.1	24.3
Non-oil sector	17.4	17.5	18.3	16.4	16.9	17.1	16.6
Goods	13.6	13.9	14.8	12.9	13.3	13.5	12.6
Nonfactor services	3.8	3.7	3.6	3.6	3.5	3.5	4.0
Oil sector	0.0	0.0	0.0	0.0	0.0	0.0	7.8
Imports of goods and nonfactor services	-33.6	-35.3	-33.3	-35.3	-47.9	-53.4	-47.0
Non-oil sector	-33.6	-34.4	-31.5	-30.8	-31.9	-32.9	-31.0
Goods	-17.8	-18.0	-16.5	-16.2	-16.4	-16.0	-15.5
Nonfactor services	-15.8	-16.4	-15.0	-14.6	-15.5	-16.8	-15.5
Oil sector	0.0	-0.9	-1.8	-4.5	-16.1	-20.5	-16.0
Gross domestic savings	-2.7	-1.5	0.2	1.0	2.1	2.7	10.3
Private unrequited transfers	-0.2	-0.4	-0.4	-0.4	-0.4	-0.4	-0.3
Budgetary grants (current)	1.9	0.7	1.2	1.0	0.9	0.8	0.0
Other public transfers (current)	4.3	4.3	3.6	3.6	3.6	3.3	2.9
Net factor income from abroad	-2.0	-1.9	-1.8	-1.8	-1.7	-1.6	-8.0
Gross national savings	1.3	1.3	2.8	3.3	4.5	4.9	4.9
Central government	4.1	4.5	4.9	6.0	6.4	6.5	5.8
Other public bodies	-4.3	-4.3	-3.7	-4.1	-4.3	-4.5	-3.9
Private sector	1.5	1.1	1.6	1.5	2.3	2.9	3.1
Saving-investment balance	-12.2	-15.0	-12.4	-16.6	-28.6	-34.1	-28.1
Central Government	-2.2	-2.1	-0.6	-0.5	-0.5	-1.0	-0.8
Other public bodies	-4.3	-4.3	-3.7	-4.1	-4.3	-4.5	-3.9
Private sector	-5.7	-8.6	-8.1	-11.9	-23.9	-28.7	-23.4
Gross national product	98.0	98.1	98.2	98.2	98.3	98.4	92.0
National disposable income, adjusted	104.0	102.8	102.6	102.3	102.4	102.2	94.6

Sources: Chadian authorities; and staff estimates and projections.

Table 4. Chad: Consolidated Government Operations, 1997-99 1/

	1997	1998								1999		
		March		June		Sep		Dec		March	June	Dec
		Prog.	Est.	Prog.	Est.	Prog.	Est.	Prog.	Est.	Projections		
(In billions of CFA francs)												
Total revenue and grants	124.7	25.4	25.8	52.9	64.3	84.7	89.9	132.2	114.3	28.3	60.4	148.5
Total revenue	68.4	19.2	18.2	42.6	36.5	65.7	57.8	92.9	76.2	21.6	49.5	106.6
Tax revenue	61.3	17.4	17.0	38.4	33.7	59.0	53.7	83.8	69.8	20.4	45.9	98.3
Income tax	22.4	6.4	3.4	13.1	10.1	19.0	17.1	25.9	23.2	5.6	14.8	34.9
Tax on goods and services	17.0	4.8	3.2	10.3	6.9	15.5	10.9	22.0	14.4	5.3	10.8	23.6
Of which: petroleum taxes	3.4	0.9	1.1	2.0	1.7	2.8	2.6	4.0	3.5	1.6	2.5	5.2
Tax on international trade	20.7	4.4	6.5	11.0	13.6	18.6	20.0	27.5	27.4	7.4	15.3	32.4
Other taxes	1.3	1.8	3.8	4.0	3.2	5.9	5.7	8.4	4.7	2.1	5.1	7.4
Nontax revenue	7.1	1.8	1.2	4.2	2.8	6.7	4.2	9.1	6.5	1.2	3.6	8.3
Total grants	56.4	6.2	7.7	10.3	27.8	19.0	32.1	39.3	38.1	6.7	11.0	41.9
Current grants	6.6	...	...	...	...	...	...	...	...	...	...	...
Project grants	49.8	6.2	7.7	10.3	27.8	19.0	32.1	39.3	38.1	6.7	11.0	41.9
Total expenditure	158.9	42.5	33.9	80.2	87.3	112.5	116.3	181.6	153.8	47.0	88.2	189.2
Current expenditure	73.5	19.2	19.1	40.4	39.9	60.7	59.5	85.3	75.4	22.8	48.1	92.3
Current primary expenditure 2/	61.3	16.9	16.9	35.6	35.0	53.6	52.6	75.5	65.7	20.8	44.0	83.2
Wages and salaries	30.8	8.0	8.0	16.0	15.8	24.0	23.7	32.0	31.5	8.7	17.4	34.9
Materials and supplies	14.6	4.0	3.2	8.1	7.1	11.6	12.4	18.3	16.1	5.5	12.4	21.7
Transfers	6.1	2.3	2.8	6.3	6.0	10.2	7.4	14.7	8.6	3.4	7.7	13.7
Defense	9.7	2.5	2.9	5.1	6.1	7.7	9.2	10.5	9.5	3.2	6.5	12.9
Salaries	8.4	2.1	2.6	4.2	5.4	6.3	8.3	8.4	8.3	2.7	5.3	10.6
Materials and supplies	1.3	0.4	0.3	0.9	0.7	1.4	0.9	2.1	1.2	0.6	1.2	2.3
Demobilization and reinsertion	3.4	0.5	0.2	0.9	0.6	1.4	0.7	1.8	0.8	0.0	0.0	0.0
Other (including elections)	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.5
Interest	8.5	1.9	2.0	3.9	4.3	5.8	6.2	7.9	8.9	2.0	4.2	8.6
Domestic	1.5	0.4	0.4	0.7	0.7	1.1	0.9	1.3	1.3	0.3	0.6	1.2
External	7.0	1.4	1.6	3.3	3.6	4.7	5.3	6.6	7.5	1.7	3.5	7.4
Current primary balance (- deficit) 3/	7.1	2.3	1.2	7.0	1.5	12.1	5.2	17.4	10.5	0.8	5.5	23.4
Current balance (- deficit)	-5.1	0.0	-1.0	2.2	-3.4	5.0	-1.7	7.6	0.8	-1.2	1.3	14.2
Investment expenditure	85.4	23.3	14.7	39.8	47.4	51.8	56.8	96.3	78.4	24.2	40.0	96.9
Domestically financed	4.1	1.0	1.3	4.4	2.9	6.6	4.5	8.9	5.0	2.2	5.0	8.9
Foreign financed	81.4	22.3	13.4	35.4	44.5	45.2	52.3	87.5	73.3	22.0	35.0	88.0
Overall deficit (commitment basis)												
Excluding grants and foreign-financed investment	-9.2	-1.0	-2.3	-2.2	-6.3	-1.7	-6.1	-1.2	-4.2	-3.4	-3.7	5.4
Excluding grants	-90.6	-23.3	-15.7	-37.6	-50.8	-46.8	-58.5	-88.7	-77.6	-25.4	-38.7	-82.6
Including grants	-34.2	-17.0	-8.0	-27.3	-23.0	-27.8	-26.4	-49.4	-39.5	-18.7	-27.7	-40.7
Change in payments arrears	-11.8	-4.0	2.5	-4.0	1.5	-12.5	0.5	-25.9	-3.8	-5.9	-10.9	-30.9
External (interest)	-0.7	-0.2	-0.2	-0.3	-0.1	-0.3	0.0	-0.3	-0.2	-0.9	-0.9	-0.9
Domestic	-11.1	-3.8	2.7	-3.8	1.6	-12.2	0.5	-25.6	-3.6	-5.0	-10.0	-30.0
Float, errors, and omissions	-0.1	0.0	-0.4	0.0	4.3	0.0	0.4	0.0	0.3	0.0	0.0	0.0
Overall deficit (cash basis, excluding grants)	-102.5	-27.3	-13.5	-41.7	-45.0	-59.3	-57.6	-114.6	-81.1	-31.3	-49.6	-113.5
Overall deficit (cash basis, including grants)	-46.1	-21.0	-5.9	-31.4	-17.2	-40.3	-25.5	-75.3	-43.1	-24.7	-38.6	-71.6
Financing	46.1	19.0	3.9	18.5	15.2	10.3	19.5	27.8	30.2	-1.9	7.5	27.9
External (net)	49.7	13.5	4.7	18.5	13.1	16.3	15.6	36.2	27.7	14.8	20.9	37.2
Loans	54.5	16.0	5.7	25.1	16.7	26.1	20.3	48.2	35.3	15.3	24.0	46.1
Project loans	31.6	16.0	5.7	25.1	16.7	26.1	20.3	48.2	35.3	15.3	24.0	46.1
Program loans	23.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization due	-7.2	-2.3	-1.7	-4.3	-4.9	-7.5	-7.3	-9.7	-9.7	-2.6	-5.2	-11.0
Change in external arrears (principal)	-2.0	-1.4	-1.0	-3.8	-0.7	-3.8	-0.5	-3.8	-1.3	-1.4	-1.4	-1.4
Debt relief/rescheduling obtained	4.5	1.3	1.7	1.5	2.0	1.5	3.2	1.5	3.5	3.5	3.5	3.5
Domestic (net)	-3.6	5.5	-0.8	0.1	2.2	-6.0	3.9	-8.4	2.5	-16.7	-13.4	-9.3
Banking system	-4.9	6.4	-0.8	1.0	2.2	-5.1	3.9	-7.5	1.9	-15.2	-11.9	-12.0
Central bank	7.1	-1.9	-2.6	-4.5	0.6	-6.5	-2.2	-9.3	-7.9	-15.2	-11.9	-12.0
Commercial banks	-12.0	8.3	1.7	5.5	1.6	1.4	6.1	1.8	9.8	0.0	0.0	0.0
Nonbank sector	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Sale of assets	1.3	-0.9	0.0	-0.9	0.0	-0.9	0.0	-0.9	0.6	-1.5	-1.5	2.7
Financing gap (-)	0.0	-2.0	-2.0	-12.9	-2.0	-30.0	-6.0	-47.5	-12.8	-26.5	-31.1	-43.7
Exceptional financing	0.0	2.0	2.0	3.8	2.0	19.6	6.0	30.3	12.8	20.1	20.1	20.1
World Bank	0.0	0.0	0.0	0.0	0.0	11.9	0.0	11.9	0.0	13.9	13.9	13.9
European Union	0.0	0.0	0.0	1.8	0.0	1.8	0.0	6.0	6.8	0.0	0.0	0.0
African Development Bank	0.0	0.0	0.0	0.0	0.0	0.0	0.0	6.4	0.0	6.2	6.2	6.2
Bilateral donors	0.0	2.0	2.0	2.0	2.0	6.0	6.0	6.0	6.0	0.0	0.0	0.0
Additional financing requirements	0.0	0.0	0.0	-9.1	0.0	-10.3	0.0	-17.2	0.0	-6.4	-11.0	-23.6
Possible Fund disbursement	0.0	0.0	0.0	6.7	0.0	6.7	0.0	13.3	0.0	6.4	6.4	6.4
Residual financing gap	0.0	0.0	0.0	-2.4	0.0	-3.7	0.0	-3.9	0.0	0.0	-4.6	-17.2
Of which: possible debt relief 4/	0.0	0.0	0.0	2.4	0.0	3.7	0.0	3.9	0.0	0.0	0.0	0.0
Memorandum items:												
(In percent of GDP, unless otherwise specified)												
Total revenue	7.7	1.9	1.8	4.1	3.7	6.4	5.9	9.0	7.7	2.1	4.8	10.4
Military expenditure	1.1	0.2	0.3	0.5	0.6	0.8	0.9	1.0	1.0	0.3	0.6	1.3
Current primary balance (- deficit)	0.8	0.2	0.1	0.7	0.1	1.2	0.5	1.7	1.1	0.1	0.5	2.3
Current balance (- deficit)	-0.6	0.0	-0.1	0.2	-0.3	0.5	-0.2	0.7	0.1	-0.1	0.1	1.4
Nonmilitary wage bill as a ratio to total revenue	45.1	41.8	43.9	37.6	43.4	36.6	41.0	34.5	41.3	40.3	35.3	32.7
Priority sector expenditure as a ratio to current expenditure	6.4	9.1	3.3	8.6	2.4	8.6	7.7	8.2	8.1	9.1	8.6	9.0

Sources: Chadian authorities; and staff estimates and projections.

1/ Excluding accountings of public contract taxation.

2/ Defined as current expenditure minus demobilization and reinsertion, elections, other expenditure, and interest.

3/ Defined as revenue minus current primary expenditure.

4/ Program columns include debt relief on Russian debt in 1998.

Table 5. Chad: Balance of Payments, 1996-2005

	1994	1995	1996	1997	1998 Prov.	1999	2000	2001	2002	2003	2004	2005
	Projections											
	(In billions of CFA francs)											
Goods and services	-123.0	-110.9	-134.4	-157.8	-147.2	-194.1	-345.8	-438.5	-320.5	374.3	507.1	503.2
Goods	-38.0	-17.3	-34.9	-42.3	-29.7	-66.6	-159.0	-203.0	-89.5	548.2	626.3	628.2
Exports, f.o.b.	75.1	123.3	113.1	123.2	145.3	132.0	148.4	163.3	287.3	909.1	939.8	964.4
Of which: cotton	24.7	63.7	55.3	66.6	86.2	69.3	80.6	90.6	98.0	106.0	114.6	123.9
oil			0.0	0.0	0.0	0.0	0.0	0.0	109.7	708.5	724.3	727.9
Imports, f.o.b.	-113.1	-140.6	-148.0	-165.5	-175.0	-198.5	-307.4	-366.3	-376.8	-360.9	-313.4	-336.2
Services	-84.9	-93.6	-99.5	-115.5	-117.5	-127.6	-186.8	-235.6	-231.0	-173.9	-119.2	-125.0
Credit	30.4	30.9	31.6	32.5	35.2	36.5	39.4	42.5	57.1	103.5	113.8	124.7
Debit	-115.3	-124.5	-131.2	-148.0	-152.8	-164.1	-226.2	-278.1	-288.1	-277.4	-233.1	-249.7
Income	-15.5	-13.9	-16.6	-17.0	-17.9	-19.0	-18.7	-19.3	-113.3	-624.2	-626.2	-619.4
Of which: public sector interest	-6.5	-6.3	-7.1	-7.0	-7.5	-7.4	-5.8	-5.3	-5.0	-4.7	-4.5	-4.3
Current transfers	62.9	49.9	50.0	41.6	43.5	33.0	35.7	36.1	36.9	40.3	40.8	42.3
General government (net)	61.7	51.3	51.9	44.8	47.2	37.0	39.8	40.3	40.8	41.3	41.8	43.3
Other sectors (net)	1.2	-1.5	-1.9	-3.2	-3.7	-4.0	-4.1	-4.2	-3.8	-1.0	-1.0	-1.0
Current account balance	-75.6	-74.9	-101.0	-133.2	-121.6	-180.1	-328.7	-421.8	-396.9	-209.6	-78.3	-73.9
Excluding official transfers	-137.2	-126.2	-152.9	-178.0	-168.8	-217.1	-368.5	-462.1	-437.7	-250.9	-120.1	-117.2
Capital and financial account	124.4	122.0	114.7	139.6	112.0	149.2	314.7	405.3	396.9	209.6	78.3	73.9
Capital account	40.3	35.9	36.4	36.1	28.4	30.8	29.3	31.4	33.1	33.2	33.4	33.5
Capital transfers	40.3	35.9	36.4	36.1	28.4	30.8	29.3	31.4	33.1	33.2	33.4	33.5
Of which: debt forgiveness	4.2	8.9	12.1	1.8	0.6	1.9	0.0	0.0	0.0	0.0	0.0	0.0
Financial account	35.3	39.0	64.6	97.2	93.2	118.4	285.4	373.9	363.9	176.4	44.9	40.4
Direct investment	7.9	5.0	7.6	9.2	15.8	41.3	170.7	233.3	216.4	116.0	20.2	21.0
Other investment	21.2	23.7	64.1	75.4	81.9	67.9	119.0	154.2	169.9	159.0	142.4	150.4
Public sector drawings	33.3	45.7	85.0	63.8	69.8	46.1	53.1	57.6	60.0	62.0	64.0	66.0
Of which: IMF purchases	8.3	6.3	12.3	6.6	6.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Debt rescheduling (agreed)	0.0	13.3	18.2	2.7	4.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Public sector amortization	-7.3	-8.6	-9.4	-13.8	-16.3	-13.7	-13.6	-14.8	-18.3	-17.3	-24.2	-24.2
Of which: IMF repurchases	-1.2	-2.8	-3.2	-6.6	-6.6	-2.7	-0.5	-1.9	-4.5	-7.1	-7.8	-7.8
Net change in arrears	4.3	-14.1	-39.2	-2.7	-4.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in liabilities of the BEAC	7.9	3.7	13.8	9.6	4.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Private sector (net)	-17.1	-3.1	13.9	18.5	28.0	35.6	79.5	111.4	128.2	114.3	102.6	108.7
Of which: deposit money banks	-8.0	3.4	7.4	9.7	10.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Reserve assets	-42.6	-36.8	-20.7	6.2	5.1	9.2	-4.3	-13.5	-22.5	-98.6	-117.7	-131.1
Errors and omissions	48.8	47.0	13.7	6.3	-9.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap (after IMF disbursements)	0.0	0.0	0.0	0.0	0.0	30.9	14.0	16.5	0.0	0.0	0.0	0.0
Of which: possible debt relief	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:												
External financing	89.7	76.3	92.2	96.6	96.3	116.1	91.7	92.6	79.3	85.0	81.0	83.1
Project financing (net)	43.9	47.4	57.6	58.6	58.1	83.3	77.7	76.1	79.3	85.0	81.0	83.1
Project loans	13.8	26.1	39.6	31.6	40.0	65.4	61.5	57.6	60.0	62.0	64.0	66.0
Project grants	36.1	27.1	24.3	34.3	27.8	28.9	29.3	31.4	33.1	33.2	33.4	33.5
Amortization	-6.0	-5.8	-6.2	-7.2	-9.7	-11.0	-13.1	-12.9	-13.7	-10.2	-16.4	-16.4
Debt relief already obtained	4.2	22.2	30.4	4.5	5.4	1.9	0.0	0.0	0.0	0.0	0.0	0.0
Exceptional financing	37.3	20.7	43.4	36.2	37.0	30.9	14.0	16.5	0.0	0.0	0.0	0.0
Program loans already obtained	11.3	0.0	15.0	23.0	18.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Possible IMF disbursement	8.3	6.3	12.3	6.6	6.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Program grants already obtained	17.8	14.5	16.2	6.6	12.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Residual financing gap	0.0	0.0	0.0	0.0	0.0	30.9	14.0	16.5	0.0	0.0	0.0	0.0
Of which: possible debt relief	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net change in external arrears (+ increase)	4.3	-14.1	-39.2	-2.7	-4.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
	(In percent of GDP, unless otherwise specified)											
Trade balance (deficit -)	-5.8	-2.4	-4.2	-4.8	-3.0	-6.5	-14.3	-16.8	-6.3	25.4	27.3	25.9
Current account (deficit -)	-11.5	-10.4	-12.2	-15.0	-12.4	-16.6	-28.6	-34.1	-27.3	-9.7	-3.4	-3.0
Excluding official transfers	-21.0	-17.6	-18.4	-20.1	-17.2	-21.1	-33.1	-38.3	-30.9	-11.6	-5.2	-4.8
Public external debt 1/	60.0	55.8	56.4	60.8	56.7	60.6	62.1	61.3	55.4	32.0	31.1	31.3
(in billions of CFA francs)	393.2	400.9	468.2	539.7	558.4	622.1	691.2	739.3	783.1	690.2	712.2	758.5
Debt service 2/	1.8	1.6	1.5	1.5	1.7	1.7	1.7	1.5	1.3	0.7	0.9	0.8
Debt-service ratio 2/ 3/	11.3	7.4	8.6	8.7	9.2	10.6	9.8	8.6	5.3	1.4	1.9	1.9
Gross official reserves (in billions of CFA francs)	59.5	90.1	98.6	85.7	73.9	86.8	100.0	113.5	136.0	234.7	352.3	483.4

Sources: BEAC; and staff estimates and projections.

1/ BEAC: Central Bank of Central African States

2/ Stock of the direct and guaranteed public foreign debt (including the Fund).

3/ Excluding the Fund.

Table 6. Chad: Monetary Survey, 1994-98

	1994	1995	1996	1997	1998								
					March		June		Sep.		Dec.		
					Prog.	Est.	Prog.	Est.	Prog.	Est.	Prog.	Est.	
	(In billions of CFA francs)												
Net foreign assets	30.2	62.3	64.7	58.5	60.6	44.4	57.7	39.1	61.8	44.3	63.5	47.3	
Central bank 1/	36.3	65.9	63.8	47.9	50.0	39.5	47.1	33.1	51.2	35.6	52.9	38.6	
Commercial banks	-0.4	2.0	0.9	10.6	10.6	4.9	10.6	6.0	10.6	8.7	10.6	8.8	
Postal debt	-5.6	-5.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Medium- and long-term liabilities	-0.7	-0.1	0.0	-0.1	-0.1	-0.1	-0.1	0.0	-0.1	0.0	-0.1	0.0	
Net domestic assets	49.8	45.6	64.9	59.0	71.3	69.6	71.1	72.1	62.3	60.6	66.0	63.5	
Domestic credit	79.2	70.5	92.6	91.3	103.6	100.0	103.4	100.9	94.4	91.4	98.1	90.2	
Claims on the government (net)	47.9	35.1	45.0	41.1	49.5	43.7	41.5	46.5	36.4	44.7	34.1	35.8	
Treasury (net)	43.3	38.5	50.5	47.0	53.8	46.2	45.8	48.1	42.8	49.7	40.4	48.0	
Central bank	44.9	37.7	55.6	62.5	60.6	59.7	58.0	63.2	56.5	60.3	53.7	54.7	
Commercial banks	-1.6	0.5	-5.5	-16.2	-7.4	-14.0	-12.8	-15.6	-14.4	-11.2	-13.9	-7.3	
Others	4.6	-3.4	-5.5	-5.9	-4.3	-2.6	-4.3	-1.6	-6.4	-5.0	-6.4	-12.1	
Others	4.6	-3.4	-5.5	-5.9	-4.3	-2.6	-4.3	-1.6	-6.4	-5.0	-6.4	-12.1	
Credit to the economy	31.3	35.4	47.6	50.2	54.1	56.4	61.9	54.4	58.0	46.7	64.0	54.4	
Of which: crop credit	6.0	4.9	11.5	14.6	0.0	21.9	0.0	19.4	0.0	12.6	0.0	15.5	
Other items (net)	-29.5	-24.9	-27.7	-32.3	-32.3	-30.5	-32.3	-28.8	-32.1	-30.8	-32.1	-26.7	
Of which: revaluation account	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	
Money and quasi money	79.3	107.8	129.5	117.4	131.8	113.9	128.7	111.2	123.4	104.9	128.8	110.8	
Currency outside banks 1/	56.3	76.6	99.7	81.3	93.7	78.9	86.2	77.5	84.9	73.2	88.9	78.3	
Demand deposits	20.1	23.4	24.5	30.3	32.2	28.4	36.6	26.7	32.6	24.8	34.0	26.8	
Time and savings deposits	2.9	7.9	5.4	5.9	5.9	6.6	5.9	7.1	5.9	6.8	5.9	5.8	
	(Changes in percent of beginning-of-period money stock, unless otherwise specified) 2/												
Net foreign assets	66.8	40.5	2.2	-4.8	1.8	-12.0	-0.7	-16.5	2.8	-12.1	4.3	-9.5	
Net domestic assets	0.2	-5.3	17.9	-4.5	10.4	9.0	10.3	11.1	2.8	1.4	6.0	3.8	
Domestic credit	14.8	-11.0	20.5	-1.0	10.5	7.4	10.3	8.2	2.6	0.1	5.8	-1.0	
Claims on the government (net)	8.1	-16.2	9.2	-3.0	7.2	2.2	0.4	4.6	-3.9	3.1	-6.0	-4.5	
Treasury (net)	-1.4	-6.1	11.1	-2.7	5.9	-0.6	-1.0	1.0	-3.5	2.4	-5.5	0.9	
Credit to the economy	6.7	5.3	11.3	2.0	3.3	5.2	9.9	3.6	6.6	-3.0	11.8	3.5	
Credit to the economy (annual percent change)	11.4	13.3	34.3	5.6	7.6	12.2	23.2	8.3	15.4	-7.0	27.5	8.2	
Money and quasi money	66.3	36.0	20.2	-9.3	12.2	-3.0	9.6	-5.3	5.0	-10.7	9.7	-5.7	
Currency outside banks	42.9	25.6	21.4	-14.2	10.6	-2.0	4.2	-3.2	3.1	-6.8	6.5	-2.6	
Demand deposits	22.0	4.1	1.1	4.5	1.6	-1.6	5.4	-3.1	2.0	-4.7	3.2	-3.0	
Time and savings deposits	1.4	6.3	-2.3	0.4	0.0	0.6	0.0	1.0	0.0	0.8	0.0	-0.1	

Sources: Bank of Central African States (BEAC); and staff estimates and projections.

1/ Beginning in 1994, the central bank's foreign assets and currency outside banks are adjusted upward by including 50 percent of the amount of unsorted bills at the national BEAC agency.

2/ For the quarterly data, changes are cumulative.

Table 7. Chad: Indicators of Fund Credit and Debt Servicing, 1994-2005

	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005
	Projections											
	(In percent)											
Outstanding Fund credit/quota 1/	68.8	99.9	109.5	109.8	109.8	118.4	116.9	110.9	96.9	74.9	50.9	26.9
Outstanding Fund credit/GDP 1/	4.9	6.3	4.0	4.1	3.7	3.7	3.4	3.0	2.2	1.1	0.7	0.4
Outstanding Fund credit/exports of goods and nonfactor services 1/	21.4	20.1	23.2	23.4	20.2	22.6	20.2	17.5	9.1	2.4	1.6	0.8
Debt service to the Fund/exports of goods and nonfactor services 2/	-1.8	-2.2	-2.7	-4.7	-4.0	-1.9	-0.5	-1.2	-1.5	-0.7	-0.8	-0.7
Debt service to the Fund/total debt service	13.5	23.3	23.8	35.3	30.6	15.1	5.0	12.1	21.5	34.4	28.6	28.6
Debt service to the Fund/ gross official reserves	-3.1	-3.8	-4.0	-8.6	-9.9	-3.7	-1.0	-2.1	-3.7	-3.2	-2.3	-1.7
Total debt-service ratio 2/	-13.0	-9.6	-11.3	-13.4	-13.2	-12.5	-10.3	-9.8	-6.8	-2.2	-2.7	-2.6
Memorandum items:	(In millions of SDRs)											
Exports of goods and services	132.7	203.7	194.9	193.9	224.7	216.2	239.0	261.9	438.2	1,288.3	1,340.5	1,385.7
Total Fund credit outstanding	28.4	33.0	45.2	45.3	45.4	48.9	48.3	45.8	40.0	30.9	21.0	11.1
Of which: net use of Fund credit	8.9	4.6	12.2	0.1	0.0	3.5	-0.6	-2.5	-5.8	-9.1	-9.9	-9.9
Total debt service	17.3	19.6	22.1	25.9	29.7	27.1	24.7	25.6	29.7	28.0	36.5	36.3
Of which: IMF	2.3	4.6	5.3	9.2	9.1	4.1	1.2	3.1	6.4	9.6	10.4	10.4
Gross official reserves	74.9	119.0	132.7	106.7	92.0	111.4	127.2	144.4	173.1	298.6	448.3	615.0
Nominal GDP	823.7	948.3	1,118.4	1,105.5	1,224.7	1,317.0	1,416.8	1,535.5	1,799.9	2,746.2	2,916.2	3,086.1
Quota	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3

Sources: IMF, Treasurer's Department; and staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases.

2/ Debt service in percent of exports of goods and services.

Figure 1
Chad: Selected Economic and Financial Indicators, 1994-2000

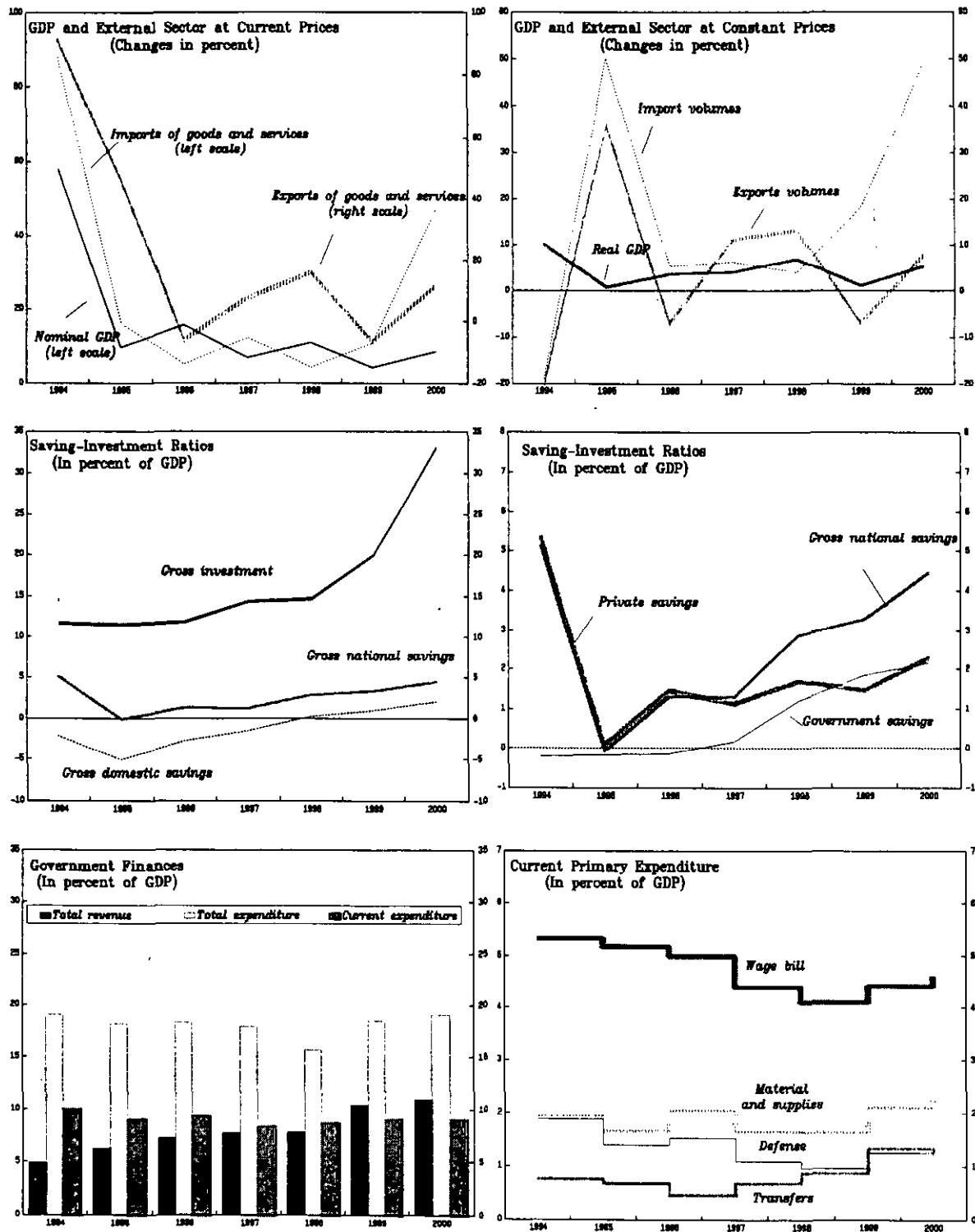
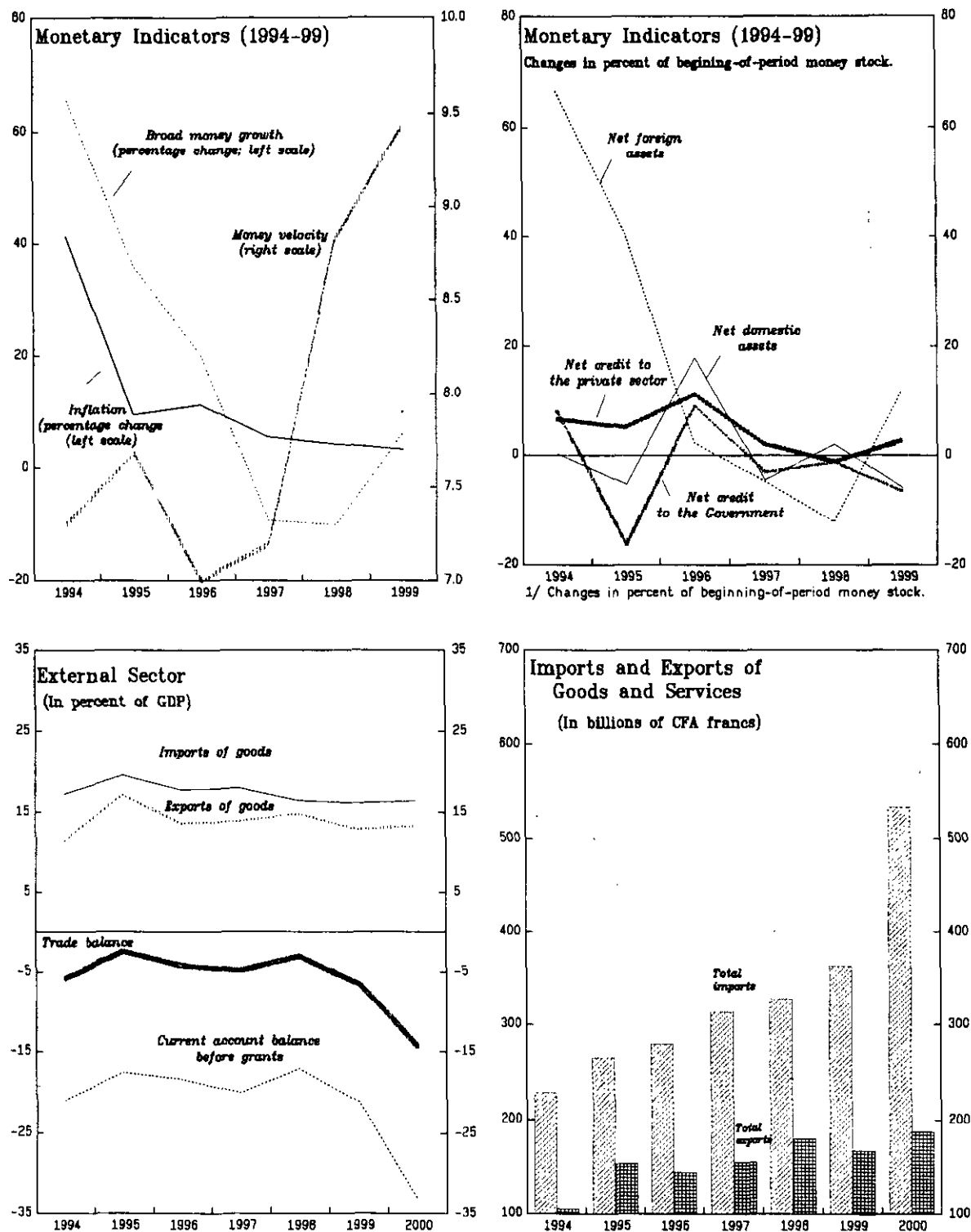


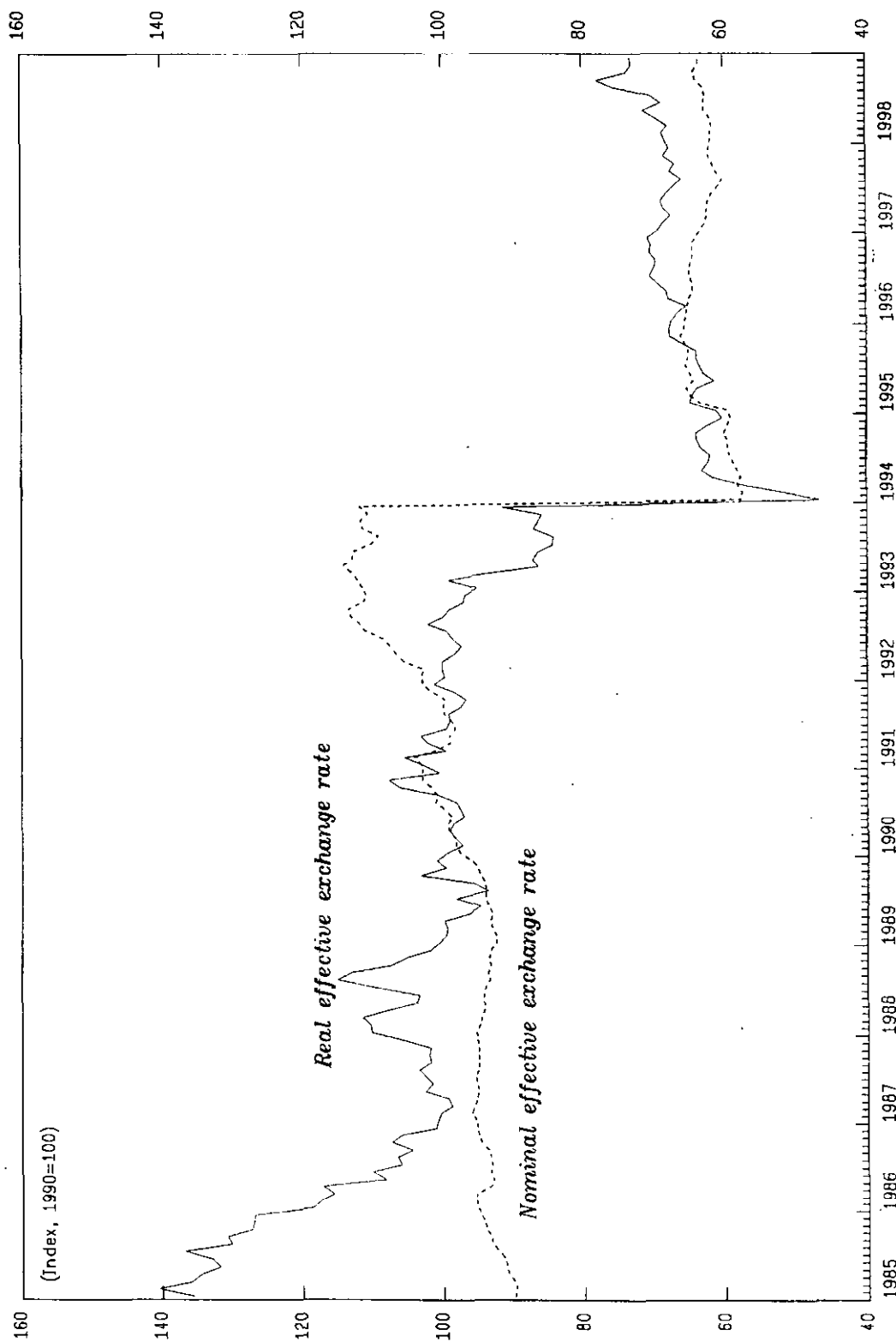
Figure 1

Chad: Selected Economic and Financial Indicators, 1994-2000 (concluded)



Sources: Chadian authorities; and staff estimates and projections.

Figure 2. Chad: Nominal and Real Effective Exchange Rates,
January 1985–November 1998



Sources: IMF, International Financial Statistics, and Information Notice System; and staff estimates.

March 10, 1999

Mr. Michel Camdessus
Managing Director
International Monetary Fund
700 19th Street, N.W.
Washington, D.C. 20431

Dear Mr. Camdessus:

1. On behalf of the government of Chad, I am pleased to send you herewith the memorandum on economic and financial policies (MEFP) relating to the midterm review of the third annual ESAF program. This document describes the measures adopted by the government to correct the weaknesses identified during the first six months of the annual program, which resulted in the nonobservance of several performance criteria for end-September 1998. It also describes the budget for 1999, which is in line with the medium-term policy framework.
2. In view of the implementation of these measures and of the major efforts being made to achieve the program objectives, the government is requesting waivers for nonobservance of the performance criteria on net bank credit to the government, the current primary balance, external payments arrears, the solicitation of bids for the privatization of SONASUT, and the adoption of the recommendations on civil service reform.
3. The government believes that the policies and measures described in this memorandum, which complement those contained in the government's memorandum of April 13, 1998, will facilitate achievement of the program objectives. The government will provide the International Monetary Fund with any information needed regarding progress in the implementation of these measures and will take any additional action that may prove necessary to achieve the program objectives.

Sincerely yours,

/s/

Bichara Chérif Daoussa
Minister of Finance and Economy

Attachment: Memorandum on Economic and Financial Policies

N'Djamena, March 10, 1999

Memorandum on Economic and Financial Policies

1. From October 27 to November 10, 1998, and from January 19 to January 26, 1999, the Chadian authorities and a Fund mission held discussions for the midterm review of the third annual Enhanced Structural Adjustment Facility (ESAF)-supported program covering the period April 1, 1998 to March 31, 1999. The two parties reviewed economic and financial developments in Chad in 1998 and examined the economic outlook and the budget for 1999.

1998 performance

2. In 1998, real GDP grew by about 7 percent, as exceptional rainfall led to a 25 percent increase in food production. Manufacturing activity was also sustained, reflecting a 20 percent rise in cotton ginning, but cottonseed production declined by about 16 percent. The collapse of petroleum production in Nigeria disrupted imports of petroleum products and exacerbated the difficulties that had occurred in other important sectors of the economy, in particular in the sectors of transportation (following torrential rains and a two-month strike by carriers) and of water and electricity. These disruptions maintained strong pressures on prices, which persisted until the third quarter, when the new, abundant grain harvest arrived on the market. During the 12-month period to December 1998, the consumer price index increased by some 3 percent, which is in line with the program target.

3. In November 1998, the government and the Fund mission undertook an overall evaluation of the implementation of the third annual program through end-September 1998. This evaluation indicates that the performance criteria on the reduction of domestic payments arrears, foreign borrowing, customs revenue, the solicitation of bids to privatize the electricity company (STEE), the adoption of a new list of products exempt from the turnover tax, and the updating of the customs valuation database have been observed. However, as indicated below, the performance criteria on net bank credit to the government, the current primary balance, external payments arrears, the solicitation of bids for the privatization of the sugar company (SONASUT), and the adoption of the recommendations on the civil service reform could not be observed. Delays were also incurred in the solicitation of bids for granting an operating license to a cellular telephone company and for the privatization of the air company (Air Tchad) and the road maintenance company (SNER).

Government finances in 1998

4. As regards public finance, the November assessment underlined a number of exogenous problems, including flooding during the rainy season, the disruptions in the supplies of imports of petroleum products, and strikes in the transportation sector, that had a negative impact on the formal sector of the economy and on the tax yield, and, in turn, weakened fiscal performance under the program. In addition, two large public enterprises

whose privatization is in progress, STEE and SONASUT, have experienced cash-flow problems that resulted in significant amounts of back taxes. Despite this particularly difficult context, at end-September 1998 revenue collections were 28 percent higher and current expenditure grew by only 2 percent, compared with the same period in 1997, owing mainly to a good performance at customs and an increased control on spending. Overall, the government budget recorded during this period a current primary surplus of CFAF 5.2 billion, equivalent to 0.5 percent of GDP. However, this performance fell short of the program target of 1.2 percent of GDP, as revenue was CFAF 8 billion below the program objective, spending in the nonpriority sectors was in excess of the program ceiling by CFAF 1.4 billion, and spending in the priority sectors was CFAF 0.6 billion below the program target. On the technical side, the November assessment of the fiscal situation brought to the fore some weaknesses in the government accounts, as evidenced by an unexplained financing gap of 0.3 percent of GDP at end-September 1998. This problem, which pertained to inconsistent recordings in the treasury balance sheet, was resolved in January 1999.

5. On the structural side, the evaluation exercise highlighted the progress made in the implementation of structural reforms, with the initiation of the privatization of STEE and the establishment of a new legal framework in the post and telecommunications sector. Progress in other areas was slower than programmed: technical difficulties led to the postponement of the call for bids for the privatization of SONASUT and the ongoing privatization program of small and medium-sized enterprises incurred some delays.

6. In light of the midterm assessment of program implementation, and in consultation with the Fund mission, the government revised in November 1998 its financial program for 1998 and lowered its current primary surplus target to 1 percent of GDP (CFAF 10 billion), compared with a program target of 1.7 percent of GDP (CFAF 17 billion). The government made concerted efforts during the last two months of 1998 to correct the weaknesses in program implementation, with a particular focus on strengthening the monitoring of government expenditure and improving revenue collection. All the temporary measures introduced in 1998 to regulate petroleum product imports during the energy crisis were lifted.

7. At end-December 1998, the current primary budget surplus was estimated at CFAF 10.5 billion (1.1 percent of GDP), slightly higher than the revised target established in November 1998. Revenue is estimated at CFAF 76 billion (7.7 percent of GDP), an 11 percent increase over 1997 but still short of the revised target by 0.4 percent of GDP. However, this shortfall in revenue was more than offset by savings in current primary expenditure, which was kept below the revised target by 0.5 percent of GDP. Nonpriority spending, excluding the wage bill, was contained at CFAF 10 billion (1 percent of GDP), or 88 percent of budgetary appropriations, whereas spending in priority sectors rose to CFAF 6.1 billion, a 30 percent increase over 1997. Government investment is estimated at CFAF 78.4 billion, of which CFAF 5 billion was domestically financed.

8. In 1998, the external current account deficit, excluding grants, declined to 17 percent of GDP from 20 percent of GDP in 1997, reflecting a sharp increase in cotton export

volumes, a moderate increase in imports, and an improvement of about 2.4 percent in the terms of trade. However, net official reserves are estimated to have declined by about US\$10 million (0.6 percent of GDP).

9. In 1998, broad money is estimated to have declined by some 6 percent, partly reflecting a deterioration in the external position of the central bank, which is estimated to have been driven by the uncertainty surrounding the impact of the introduction of the euro on the CFA franc. Domestic credit declined by 1 percent of beginning-of-period money stock.

10. By the end of 1998, the treasury had settled its current obligations to the civil service pension fund (CNRT) and the social security agency (CNPS): it repaid all the workers' contributions that were deducted from the payroll in 1998 and paid the employers' contribution for 1998. However, the government's financial management was made difficult by the nondisbursement of nearly 70 percent of the programmed foreign assistance, owing partly to the postponement to early 1999 of the completion of the midterm review of the third annual arrangement under the ESAF. In view of the particularly difficult cash-flow situation, the government suspended all payment of domestic arrears incurred prior to 1998, and had to draw down its cash balances to meet its obligations. As a result, the net decline in domestic arrears could not exceed CFAF 3.6 billion in 1998.

11. The government has cleared all nonreschedulable external arrears, estimated at CFAF 1.2 billion at end-September 1998, and has continued to pay special attention to improving external debt management by honoring its current maturities. It expects to conclude a debt-relief agreement on arrears amounting to CFAF 2.3 billion with one of its Paris Club creditors in the first quarter of 1999. Jointly with Fund and World Bank staffs, the government has also initiated an analysis of Chad's external debt sustainability under the Initiative for Heavily Indebted Poor Countries (HIPC Initiative).

The economic and financial outlook for 1999

12. The economic outlook for 1999 seems less favorable than initially expected, in particular because, with the probable return to normal rainfall, food production is expected to decline by at least 10 percent. A decline in activity is also projected in part of the manufacturing sector, owing to a fall in the volume of ginned cotton and because the difficulties in the energy sector are expected to persist during most of the year. Real GDP is therefore projected to grow by 1.2 percent, and the rate of inflation is expected to remain stable at 3.3 percent.

13. The current account deficit, excluding official transfers, of the balance of payments is projected to widen by some 4 percent of GDP to 21 percent, mainly because of a substantial increase in imports in connection with the investments in the oil sector. At the same time, export volumes are expected to decline as a result of the fall of seed cotton output in 1998. Money supply is projected to increase by some 6 percent. In terms of beginning-of-period money stock, the net bank credit to the government is projected to decline by 6 percent, while

credit to the private sector is projected to increase moderately (by some 3 percent). As a result, Chad's national external assets at the Bank of Central African States (BEAC) are projected to increase by the equivalent of 12 percent of beginning-of-period money stock.

14. The budget for 1999 is in line with the medium-term policy framework of the program. It targets a current primary budget surplus of 2.3 percent of GDP and an overall budget deficit, on a commitment basis and excluding grants, of 8 percent of GDP. On the basis of a programmed net reduction in domestic arrears of 3 percent of GDP, the overall deficit—on a cash basis and excluding grants—is projected at 11.1 percent of GDP. Most of this deficit will be financed by project assistance already committed. However, after taking into account the need to reconstitute the government liquidity position, there remains a financing gap of 4.3 percent of GDP, expected to be covered by exceptional financial assistance from multilateral and bilateral donors, including the Fund, the World Bank, the African Development Bank, the European Union, and France. A large part of these exceptional disbursements are carried over from 1998. The government is determined to monitor closely the execution of the budget to ensure that the quarterly benchmarks on the current primary surplus are achieved. In particular, the pace of spending in the nonpriority sectors will be restrained during the first half of the year until the projected trend for revenues is confirmed. If needed, exceptional measures, including restrictions on spending, will be taken in the course of the year to prevent any budgetary slippage.

15. Revenue is projected at CFAF 106 billion (10.4 percent of GDP) in 1999, an increase of 40 percent over 1998, as a result of the implementation of the recommendations of the Fund's technical assistance mission. The latter include the doubling to 4 percent of the withholding tax on profits, previously restricted to individuals, its extension to corporate entities (including petroleum companies), and its assessment and collection by the customs or the petroleum tax office, as applicable; improvement in the administration of the turnover tax (TCA) and the strengthening of control on TCA exemptions; and the rationalization and improvement in the implementation of the tax mechanism for externally financed projects.

16. The government will continue to pay special attention to improving tax and customs administration, and to combating tax fraud and tax evasion. It will ensure the effective transfer in 1999 of responsibility for tax collection, including back taxes, to the tax and customs departments. The Tax Directorate will focus on strengthening the monitoring of taxpayers, on improving recovery of back taxes and reinforcing legal action against delinquent taxpayers, and on broadening the coverage of the census of the small taxpayers subject to the single business tax (*impôt général libérateur*—(IGL)). The Customs Directorate will ensure that the customs valuation database is updated regularly and, in collaboration with the United Nations Conference on Trade and Development (UNCTAD) staff, will put in place the Automated System for Customs Data (SYDONIA).

17. In the area of public expenditure, government policy will continue to emphasize strict budgetary management. The 1999 budget projects current expenditure of CFAF 92 billion (9 percent of GDP). The nonmilitary wage bill is expected to reach some CFAF 35 billion, an

increase of 10.7 percent over 1998, which mainly reflects a 5 percent across-the-board pay raise, the recruitment and the regularization of new staff in the health and education sectors, and some exceptional and limited recruitment in the other sectors. Appropriations for the priority sectors were increased by over 20 percent in real terms, as provided for in the policy framework paper (PFP). A ceiling of CFAF 12.9 billion (1.3 percent of GDP) has been set on military expenditure. This increase of 36 percent over 1998 concerns mainly wages and reflects the replacement of the system in force until 1998, under which lump-sum salaries were paid for periods of six to nine months, with a system involving 12 monthly salary payments. Investment expenditures are projected to reach 9.4 percent of GDP.

Structural reform

18. During the last two months of 1998, the government intensified its efforts to restructure the large public enterprise sector, with the technical support of the World Bank. **In the sugar sector**, the investment bank responsible for restructuring the sector has started its work and intends to submit to the government by end-March 1999 the information memorandum that will accompany the solicitation of bids for the privatization of SONASUT. This memorandum will also contain the description of a mechanism to reduce progressively the sector's protection, with a view to ensuring its elimination within a five-year period. **In the energy sector**, the work to evaluate the technical and financial bids for the management contract for STEE has begun, and it is expected that final selection will take place before end-June 1999. **In the telecommunications sector**, the government has decided to separate the postal and telecommunications activities of the postal and telecommunications office (ONPT) and to merge its telecommunications activities with those of the private telephone company (TIT). The selection of the consultant in charge of this restructuring is under way, and it is expected that the work will start by end-March 1999. The solicitation of bids for granting an operating license to a private cellular telephone company was launched at end-December 1998, and final selection should take place by end-March 1999. Lastly, **in the banking sector**, the government has taken note of the reservations expressed by the Central African States Banking Commission (COBAC) concerning the first bidder initially selected to take over the Banque Tchadienne de Commerce et de Dépôts (BTCD), and it has started negotiations with the second bidder. Regarding the Banque de Développement du Tchad (BDT), a draft agreement on the repurchase of all non-paid-up shares has been signed by the government and a private investor, and has been submitted to COBAC for approval. The government has also submitted to COBAC for examination all the previous sales of shares to ensure that they conform to banking legislation.

19. The government is determined to reform the cotton sector. To this end, it has agreed to speed up the separation of the oil and soap manufacturing activities from the cotton company (COTONTCHAD), and it has selected a consultant to study the issue. The government has also requested the technical support of the World Bank in preparing during the first half of 1999 a strategy to liberalize the sector. The government will then prepare a timetable for the reform of the cotton sector.

20. Significant progress has been made regarding the privatization of small and medium-sized enterprises with the opening of bids for the privatization of the *Abattoirs frigorifiques de Farcha* (slaughterhouse) and the privatization of the management of the *Hôtel du Chari*. In addition, the government has decided to submit to parliament a draft law on the liberalization of air transportation, and to liquidate Air Tchad.

21. Aware of the extremely precarious situation of Chad's social security system, as confirmed by the very severe diagnosis of the audits of the CNRT and the CNPS, the government has decided to examine in depth the reorganization of the system; it will be seeking the technical and financial support of its regional and external partners. In the interim, the government has set up a working group to prepare a program for the restructuring of the two agencies. To this end, it has signed agreements officially acknowledging a net indebtedness of CFAF 4 billion to the CNRT and of CFAF 2.5 billion to the CNPS.

22. In December 1998, the government adopted the first appraisal report by the national committee in charge of the reform of the civil service, which recommended that the current policies regarding recruitment, pay, and promotion in the civil service be reformed. In this connection, the government has established a technical unit to elaborate these reforms. The unit will submit its recommendations to the government with a view to their incorporation in the 2000 Budget Law.

Table 1. Chad: Quantitative Benchmarks for March and June 1999
for the Third Annual Arrangement Under the ESAF

(In billions of CFA francs)

	Stock Dec. 1998 Prov.	Cumulative Changes from December 1998	
		1999	
		March Ind. bench.	June Ind. bench.
Benchmarks 1/			
Net credit of the banking system to the government 2/	47.6	-15.2	-11.9
Including the second disbursement under the third-year ESAF 3/		-8.7	-5.4
Domestic payments arrears 4/	...	-5.0	-10.0
External payments arrears 4/ 5/	2.3	-2.3	-2.3
Of which: in cash		0.0	0.0
External loans contracted or guaranteed by the government on nonconcessional terms 6/ 7/			
Less than one year's maturity	0.0	0.0	0.0
Medium- and long-term loans	0.0	0.0	0.0
Current primary balance	10.5	0.8	5.5
Monitored variables			
Nonwage expenditure of priority sectors	6.1	2.1	4.1
Anticipated external program financing 8/		23.6	23.6

1/ The principal adjusters in case of shortfalls of external assistance are as follows: (a) shortfalls before end-1999 would imply a postponement of the elimination of domestic payment arrears up to the amount projected for 1999; and (b) in case of higher domestic tax revenue or external exceptional financing, one-half of the excess would be used to increase the settlement of payments arrears to suppliers and the other half to reduce net credit of the banking system to the government.

2/ The cumulative changes exclude the second disbursement under the third-year ESAF, subject to an adjustment in line with the contingency provision in footnote 1 above.

3/ The cumulative changes include the second disbursement under the third-year ESAF, subject to an adjustment in line with the contingency provision in footnote 1 above.

4/ No new accumulation of arrears is allowed, with the exception of external debt-service payments for which a rescheduling or a cancellation is foreseen. The reduction in domestic arrears is subject to an adjustment related to the availability of external financing (see footnote 1 above).

5/ The stock of arrears at end-December 1998 includes arrears owed to Russia, estimated at CFAF 2.3 billion.

6/ Any loan with a grant element less than 35 percent. The discount rates used in the calculation of concessionality are six-month averages of the OECD commercial interest reference rates (CIRRs) (for loans with maturities of up to 15 years) and ten-year averages of the CIRRs (for loans with maturities exceeding 15 years), augmented by a margin related to the repayment period.

7/ Excluding normal import-related credits, on a disbursement basis, and credits for the financing of oil exploitation projects.

8/ Excluding new disbursement from the IMF and including debt relief.

CHAD: Relations with the Fund
(As of January 31, 1999)

I. Membership Status: Joined 7/10/63; Article VIII

II. General Resources Account:	SDR Million	% Quota
Quota	41.30	100.0
Fund holdings of currency	44.89	108.7
Reserve position in Fund	0.28	0.7

III. SDR Department:	SDR Million	% Allocation
Net cumulative allocation	9.41	100.0
Holdings	0.01	0.1

IV. Outstanding Purchases and Loans:	SDR Million	% Quota
Stand-By Arrangements	1.29	3.1
Structural Adjustment Facility (SAF) Arrangements	2.75	6.7
Enhanced Structural Adjustment Facility (ESAF) Arrangements	41.30	100.0

V. Financial Arrangements:

Type	Approval Date	Expiration Date	Amount Approved (SDR Million)	Amount Drawn (SDR Million)
ESAF	9/01/95	4/28/99	49.56	41.30
Stand-By	3/23/94	3/22/95	16.52	10.33
SAF	10/30/87	10/29/90	21.42	21.42

VI. Projected Obligations to Fund (SDR Million; based on existing use of resources and present holdings of SDRs):

	Overdue		Forthcoming 1/			
	<u>12/31/98</u>	<u>1999</u>	<u>2000</u>	<u>2001</u>	<u>2002</u>	<u>2003</u>
Principal	0.0	3.4	0.6	2.5	5.8	7.4
Charges/interest	0.0	0.6	0.6	0.5	0.5	0.5
Total	0.0	4.0	1.2	3.0	6.3	7.9

1/ The projection of charges and interest assumes that overdue principal at the report date (if any) will remain outstanding, but that forthcoming obligations will be settled on time.

CHAD: Relations with the Fund (continued)

VII. Exchange Rate Arrangement

Chad is a member of the Bank of Central African States (BEAC). The exchange system, common to all members of the BEAC, has been free of restrictions on payments and transfers for current international transactions. Repurchase of the CFA franc banknotes exported outside the BEAC was suspended on August 2, 1993. The BEAC common currency is the CFA franc, which was formerly pegged to the French franc. Effective January 12, 1994, the CFA franc was devalued by 50 percent in foreign currency terms, and the exchange rate was adjusted from F 1 = CFAF 50 to F 1 = CFAF 100. Starting in January 1, 1999, the CFA franc is pegged to the euro at a the fixed rate of EUR 1 = CFAF 655.95. On January 31, 1997, the rate of the CFA franc, in terms of the SDR, was CFAF 746.28 = SDR 1.

VIII. Article IV Consultations

(a) Chad is on the standard 12-month consultation cycle.

(b) The last discussions for the 1997 Article IV consultation were held in N'Djaména during the period February 25-March 14, 1996. The staff report (EBS/97/91; 5/30/97) was discussed by the Executive Board on June 13, 1997 (EBM/96/49; 5/30/97). A statistical annex (SM/97/132) was also circulated to the Board.

IX. Technical Assistance

1988: FAD mission on the preparation of a tax reform program.

1989: FAD mission on the preparation of a tax reform program.

1990: FAD mission for reviewing implementation of the tax reform program.

1991: FAD mission for reviewing implementation of the tax reform program.

1994: FAD mission for assessing weaknesses in customs administration and recruitment of an expert responsible for strengthening customs administration.

October 1994-October 1995: FAD resident expert to strengthen customs administration.

1996: FAD mission for reviewing the tax reform program (introduction of the turnover tax, strengthening of tax administration).

CHAD: Relations with the Fund (concluded)

1997: In August 1997, FAD mission for following up the tax reform program initiated in 1996.

In November-December 1997, FAD mission for assessing weaknesses in customs administration and preparing a rehabilitation program for strengthening the customs Directorate.

1998: In May-June 1998, FAD mission to assess the need for long-term assistance in tax and customs administration, treasury operations, and budget preparation and execution.

In November 1998, FAD expert to begin a series of mission to strengthen customs administration.

X. Resident Representative

A Fund Resident Representative was posted to N'Djaména in September 1998.

Chad: Relations with the World Bank Group

The Bank's recent assistance program in Chad was laid out in its 1996-98 Country Assistance Strategy (CAS), presented to the Board in March 1996, and focusing on three key objectives: to restore minimum critical public sector capacity, focus public expenditures on poverty reduction, and promote sustainable use of natural resources.

The Bank's current portfolio of projects supports investment in the productive sectors (agriculture, livestock, and energy), transport infrastructure, the social sectors (health and education), and capacity building. The 1996 CAS also envisaged three quick-disbursing policy reform operations, in support of the government's structural adjustment program. A first single-tranche structural adjustment credit (SAC) of US\$30 million was approved in early 1996; a second SAC of US\$ 25 million was approved on June 30, 1997, and a third SAC, in preparation, is expected to be presented in March 1999.

A new CAS will be prepared in 1999, reflecting the transition of Chad to the new economic environment through the development and exploitation of oil resources, expected to come onstream in 2002.

A. Statement of IDA Credits (As of January 31, 1999)

(In millions of U.S. dollars)			IDA	Undisbursed
Credit No.	Fiscal Year	Purpose		
Cr.21840	1991	Engineering	11.00	4.80
Cr.25010	1993	Basic Education	19.30	11.90
Cr.25200	1993	Transport Sector II	37.00	0.10
Cr.26140	1994	Public Works and Capacity Building (ATETIP)	17.40	11.70
Cr.26260	1994	Health and Safe Motherhood	18.50	1.20
Cr.25201	1994	Transport Sector II	12.70	4.30
Cr.26850	1995	Agricultural Services	24.53	12.50
Cr.26920	1995	Population and AIDS	20.40	12.00
Cr.28180	1996	Capacity Building	9.50	3.10
Cr.30820	1999	Household Energy	5.30	5.30
Cr.26261	1999	Health and Safe Motherhood	10.9	10.9
Total number of credits = 11				
Total credit held from the Bank and IDA				572.40
Of which: repaid				15.80
Total now held by the Bank and IDA				556.6

Chad: Relations with the World Bank Group (concluded)

B. Statement of IFC Investments

Chad completed the requirements for IFC membership in 1997. IFC is involved in arranging—and will contribute to—financing for the privately sponsored Chad-Cameroon Pipeline Project.

C. Activities Under Preparation

A Household Energy project in the amount of US\$5.6 million and a supplemental credit to the Health and Safe Motherhood project in the amount of US\$10.9 million were approved recently. IBRD support for the Chad-Cameroon Pipeline Project is under consideration, as well as complementary technical assistance projects in environmental, financial and technical management. Preliminary sector strategy work is also under preparation in education, transport and rural development, with a view to preparing new investment operations in these sectors over the next two years. As indicated above, a new Country Assistance Strategy is in preparation; it is expected to be presented to the Board in May 1999.

Chad: Statistical Issues

Chad's statistical system is weak and suffers from a shortage of financial and human resources. The compilation of national statistics is decentralized at various ministries, and at the national agency of the Bank of Central African States (BEAC). The statistics directorate at the Ministry of Planning (Direction des Statistiques et des Etudes Economiques et Démographiques, or DSEED) is in charge of the national accounts and the consumer price index (CPI), as well as the production and publishing of statistics on population. The Ministry of Finance is responsible for compiling fiscal data. The BEAC is responsible for monetary statistics and the balance of payments. The CPI is published biweekly, and other data are disseminated as they become available.

The authorities have expressed a strong interest in reforming the statistical system but lack the resources—both human and financial—to do so. An important step in this direction was the recent adoption of new national accounts. The recent adoption by the government of a Draft Law to regulate and enhance statistical activity and its expected approval by parliament will provide a new impetus in the areas of collection and dissemination of statistical data.

Overall, the quality of real sector data improved since the national accounts were revised back to 1995. However, weaknesses in balance of payments, government finance, and monetary statistics make program design and monitoring difficult.

Real sector

In early 1998, the authorities adopted a new set of national accounts, based in 1995, comprehensive and consistent with the methodology of the United Nations' *1993 System of National Accounts*. These new accounts include an input-output table and incorporate nonmarket household production and a better coverage of the informal sector. The CPI is obsolete, with outdated base weights. There is a need to accelerate the establishment of a new CPI base, using the results of a household consumption survey (ECOSIT) undertaken in 1996.

Public finance

The authorities are making efforts to improve the quality and timeliness of data; nevertheless, they have not yet been able to resume reporting of data to *Government Statistics Yearbook (GFSY)*. In 1998, some progress was made in broadening the current scope of coverage of government operations to include three national agencies in the government budget. In addition, the compilation of a quarterly consolidated government operations table is regularly issued. Strengthening the accounting procedures of treasury operations is a priority for the authorities in order to improve the accuracy of government statistics.

Monetary sector

Monetary data published in *International Financial Statistics (IFS)* are based on reports to STA by the BEAC. Data have been provided on a regular basis, although with some delays. The February 1999 issue of *IFS* included data through August 1998. The quality of monetary data is affected by the still-unsolved problem of unsorted BEAC notes at the national agency of the central bank.

Balance of payments

The quality of balance of payments statistics is poor because of the lack of resources devoted to this task (only one person and not on a full-time basis). In addition, data continue to be compiled with long delays; compilation of the balance of payments data for the year 1996 is still under way. Even considering the difficulty of collecting data on informal trade between Chad and its neighboring countries, many improvements could be made on items such as imports (following resumption of import data collection by the customs), noncotton exports, freight, and public transfers. Coordination with the DSEED should also be strengthened.

Chad: Survey of Reporting of Main Statistical Indicators

(As of end-January 1999)

	Exchange Rates 1/	International Reserves	Reserve/ Base Money	Central Bank Balance Sheet	Broad Money	Interest Rates	Consumer Price Index	Exports/Imports	Current Account Balance	Current Government Balance	GDP/GNP	External Debt
Date of latest observation	n.a.	November 1998	November 1998	November 1998	November 1998	January 1999	December 1998	December 1996	December 1996	December 1998	1997	December 1998
Date received	n.a.	January 1999	January 1999	January 1999	January 1999	January 1999	January 1999	March 1997	March 1997	January 1999	Febru. 1998	January 1999
Frequency of data	n.a.	Monthly	Monthly	Monthly	Monthly	Daily	Monthly	Annual	Annual	Monthly	Annual	Monthly
Frequency of reporting	n.a.	Every other month	Every other month	Every other month	Every other month	Immediately after changes	Monthly	Annual	Annual	Monthly	Annual	Monthly
Source of data	n.a.	Central bank	Central bank	Central bank	Central bank	Central bank	Ministry of Planning	Central bank	Central bank	Ministry of Finance	Ministry of Planning	Ministry of Finance
Mode of reporting	n.a.	Fax or mission in the field	Fax or mission in the field	Fax or mission in the field	Fax or mission in the field	Fax	Fax or mission in the field	Mission in the field	Mission in the field	Fax or mission in the field	Fax or mission in the field	Fax or mission in the field
Confidentiality	NO	YES	YES	YES	YES	NO	NO	YES	YES	YES	YES	YES

1/ From January 1, 1999, the CFA franc is pegged to the euro.

Chad: Social Indicators, 1997

Population	6.8 million
Growth rate of population	2.5 percent a year
Urban population	22 percent of total population
Life expectancy	49 years
Fertility rate	5.8 births per woman 1/
Infant mortality	113 per thousand
Under five mortality	206 per thousand 1/
Child malnutrition (under five)	35 percent of age group 1/
Access to safe water	24 percent of population
Population per physician	29,412 persons 1/
Population per nurse	3,396 persons 1/
Population per hospital bed	1,345 persons 1/
Immunization (DPT)	18 percent 1/
Gross primary school enrollment	65 percent of school-age population
Female	44 percent
Male	85 percent
Secondary school enrollment	7 percent of age group
Illiteracy rate (age 15+)	48 percent
Newspaper circulation	0.3 per thousand
GNP per capita	US\$240

Source: World Bank.

1/ Data for 1996.

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Washington, D. C. 20431 USA

IMF Concludes Article IV Consultation with Chad

On ---, the Executive Board concluded the Article IV consultation with Chad¹.

Background

In 1998, Chad made substantial progress in implementing its economic and financial reform program, which is supported by the third annual arrangement under an Enhanced Structural Adjustment Facility (ESAF). However, economic conditions were difficult because of an energy crisis triggered by chronic fuel shortages, and disruptions in transportation activity due to weather and a strike. Despite these difficulties, real GDP grew by about 7 percent in 1998, owing mainly to a good rainfall, which boosted foodstuff production to the record level of 2.1 million tons, an increase of 35 percent over 1997; however cotton seed output declined by some 16 percent. Activity rose by some 10 percent in the secondary sector, owing mainly to a strong 20 percent increase in manufacturing, and by only 3 percent in the services sector. Consumer prices increased by some 18 percent during the first nine months of the year, reflecting the combined effects of the drought of 1997 and the energy crisis; they then declined by 13 percent in the last quarter, as the new cereal crop arrived on the market, bringing inflation during the year to 3 percent.

Public finances continued to improve in 1998, but the prevailing economic conditions made achievement of fiscal targets difficult. The current budget balance recorded a surplus of 0.1 percent of GDP. Revenue reached 7.7 percent of GDP, increasing by 11 percent over 1997, owing mainly to more efficient customs operations. However, this was 1.3 percent of GDP less than envisaged in the budget, because of problems stemming in part from the energy crisis. Faced with revenue shortfalls, the authorities

limited the increase in current expenditure to less than 3 percent over 1997, cut the nonpriority sectors' budget by some 20 percent, and kept a tight control on the wage bill. By contrast, spending in the priority sectors of education and health was increased by 30 percent over 1997. With investment expenditure estimated at 8 percent of GDP, the overall deficit for 1998, on a commitment basis excluding grants, stood at 7.9 percent of GDP, compared with 10.2 percent in 1997. In 1998, the tight government cash flow situation was exacerbated by a substantial shortfall in disbursement of external budgetary aid—disbursements were about 30 percent of that envisaged in the budget. As a result, the net reduction in domestic arrears was only 0.4 percent of GDP, and net bank credit to the government was 0.3 percent of GDP higher than projected.

In 1998, the external current account deficit, excluding grants, declined to 17 percent of GDP, from 20 percent in 1997, owing to an improvement in the trade balance. The country's terms of trade rose by about 2.5 percent. Export volumes rose by an estimated 13 percent, mainly reflecting buoyant cotton exports. The increase in import volumes was only 4 percent because of the petroleum-import and transportation problems. Net capital inflows amounted to about 12 percent of GDP and net foreign reserves are estimated to have declined by some US\$10 million.

In 1998, progress was made in advancing structural reforms. In the energy sector, bids for the privatization of the electricity and water company were solicited, and the evaluation of the offers is underway. The new regulatory framework governing the telecommunications sector was put in place, and bids were solicited for granting a license to a private cellular phone company. In the sugar sector, the private investment bank entrusted with the privatization of the sugar company, SONASUT, has started its work and the solicitation of bids is scheduled for the second quarter of 1999. In the cotton sector, a consulting firm has been selected to study the separation of the oil and soap activities from the cotton company COTONCHAD, and a strategy to liberalize the sector will be prepared in the course of the first half of 1999 with technical assistance from the World Bank. In the banking sector, the privatization of Banque Tchadienne de Commerce et de Dépôts (BTCD), the nation's largest commercial bank, is well advanced. Finally, a state-owned slaughterhouse was privatized, the Hotel du Chari put under private management, and Air Tchad will be liquidated.

At the end of 1998, the government adopted a report on the reform of the civil service, and has established a technical unit to develop concrete reform proposals regarding recruitment, pay, and promotion. Also, in view of the extremely precarious situation of Chad's social security system, the government has decided to examine in depth the reorganization of the system.

The 1999 economic growth is projected to be just above 1 percent on the grounds that food production will return to normal levels, and that cotton ginning will decline because of

the fall of seed cotton output in 1998. Inflation is expected to remain at about 3.5 percent. The budget for 1999 targets a current surplus of 1.4 percent of GDP, and an overall budget deficit, on a commitment basis and excluding grants, of 8 percent. In 1999, the external current account deficit is expected to widen by some 4 percent of GDP to 21 percent of GDP, mainly reflecting a substantial increase in imports volumes related to the investments in the oil-export project. At the same time exports are expected to decline by 7 percent in real terms, as a result of the reduced cotton exports.

Executive Board Assessment

Not yet available.

Public Information Notices (PINs) are issued, at the request of a member country, following the conclusion of the Article IV consultation for countries seeking to make known the views of the IMF to the public. This action is intended to strengthen IMF surveillance over the economic policies of member countries by increasing the transparency of the IMF's assessment of these policies.

Chad: Selected Economic Indicators, 1994-99 1/

	1994	1995	1996	1997	Prel. 1998	Proj. 1999
In percent						
Domestic economy						
Real GDP	10.2	0.9	3.7	4.1	7.0	1.2
GDP deflator	43.3	8.7	11.6	2.7	3.6	3.1
Consumer prices (annual average)	41.3	9.5	11.3	5.6	4.3	3.3
In percent of GDP						
Gross fixed investment	11.8	11.6	11.9	14.4	14.7	19.9
Gross domestic savings	-2.1	-5.1	-2.7	-1.5	0.3	1.0
Gross national savings	5.1	-0.1	1.3	1.3	2.9	3.3
In millions of U.S. dollars 1/						
External economy						
Exports, f.o.b.	135	247	22.1	211	247	238
Imports, f.o.b.	-204	-282	-289	-283	-297	-359
Current account balance (excluding grants)	-247	-253	-299	-305	-286	-392
Capital and financial account balance	136	150	197	228	206	269
Contribution to the official external reserves of the BEAC (end of period) 2/	111	184	188	143	126	157
Current account balance (in percent of GDP) 3/	-21.0	-17.6	-18.4	-20.1	-17.1	-21.2
Debt service (in percent of exports of goods and nonfactor services)	13.0	9.6	11.3	13.4	13.2	12.5
External debt (in percent of GDP)	60.0	55.8	56.4	60.8	56.7	60.6
Real effective exchange rate (end of period; percent of change) 4/	-32.7	7.2	6.8	-1.6	7.9	...
In percent of GDP 1/						
Financial variables						
Government revenues	4.9	6.2	7.2	7.7	7.7	10.4
Current expenditures	10.0	9.0	9.3	8.3	7.7	9.0
Overall fiscal deficit (commitment basis)	-14.2	-11.9	-11.1	-10.2	-7.9	-8.0
Total grants	14.9	10.9	9.2	8.9	7.6	6.4
Current grants	9.4	7.1	6.2	5.0	4.8	3.6
Capital grants	5.5	3.8	2.9	3.9	2.8	2.8
Change in broad money (in percent)	66.3	36.0	20.2	-9.3	-5.7	6.2

Sources: Chadian authorities; and staff estimates and projections.

1/ Unless otherwise specified.

2/ The BEAC is the common central bank for six central African states: Cameroon, Central African Republic, Chad, Congo, Gabon, and Equatorial Guinea.

3/ Excluding grants.

4/ Minus sign indicates depreciation of the CFA franc.